



Financial Statements
June 30, 2024

Bakersfield City School District

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Independent Auditor's Report

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District, as of June 30, 2024, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, schedule of the District's proportionate share of the net OPEB liability – MPP program, schedule of the District's proportionate share of the net pension liability, and schedule of

the District's contributions, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, combining non-major governmental fund financial statements, and other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the Schedule of Expenditures of Federal Awards, combining non-major governmental fund financial statements, and other supplementary information listed in the table of contents are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the financial statements. The other information comprises the Local Education Agency Organization Structure but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 22, 2024 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 22, 2024

Mark Luque, Superintendent

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Board of Education

Dr. Chris Cruz Boone, President
Anthony Fuentes, President Pro-Tem
Lillian Tafoya, Clerk
Laura Guerrero Salgado, Clerk Pro-Tem
Brooke Malley Ault, Member

This section of the Bakersfield City School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2024, with comparative information for the fiscal year ended June 30, 2023. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting and governmental activities. These statements include all assets of the District (including capital assets), deferred outflows of resources, as well as all liabilities (including long-term liabilities), and deferred inflows of resources. Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the two categories of activities: governmental and proprietary.

The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Proprietary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Bakersfield City School District.

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the District as a whole and about its activities. These statements include all assets, deferred outflows of resources, liabilities, and deferred inflows of resources of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and liabilities, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the Statement of Net Position and the Statement of Activities, we present the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade eight students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State, and local grants, as well as general obligation bonds, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following the governmental fund financial statements.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Revenues, Expenses, and Changes in Fund Net Position. We use internal service funds (the other component of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Funds. The internal service funds are reported with governmental activities in the government-wide financial statements.

FINANCIAL HIGHLIGHTS

- The District's financial status continues to remain solid. The District is able to meet all of its current needs and maintain an adequate reserve.
- Overall revenues for all governmental activities were \$699,279,833 which was \$75,463,307 more than expenditures.
- The General Fund balance increased \$40,244,147 excluding the impact of the consolidation of the Special Reserve Other Postemployment Benefits Fund and the Pupil Transportation Fund. The available reserves increased by \$386,287.
- The District increased the outstanding long-term liabilities by \$37,172,506; the increase was primarily due to the changes in the other post-employment benefits and net pension liabilities.

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$207,956,846 for the fiscal year ended June 30, 2024. Of this amount, \$230,370,993 was restricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limits the governing board's ability to use net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

	Governmental Activities	
	2024	2023
Assets		
Current and other assets	\$ 555,752,340	\$ 479,988,355
Capital assets	330,716,822	316,664,079
Total assets	886,469,162	796,652,434
Deferred Outflows of Resources	150,275,624	133,863,179
Liabilities		
Current liabilities	70,266,405	56,030,241
Long-term liabilities	691,823,940	654,651,434
Total liabilities	762,090,345	710,681,675
Deferred Inflows of Resources	66,697,595	87,340,399
Net Position		
Net investment in capital assets	227,495,839	207,932,211
Restricted	230,370,993	210,125,619
Unrestricted (deficit)	(249,909,986)	(285,564,291)
Total net position	\$ 207,956,846	\$ 132,493,539

The \$207,956,846 in net position of the governmental activities represents the accumulated results of all past years' operations. Unrestricted net position – the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements – increased by 12.49% (\$249,909,986) compared to (\$285,564,291).

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. Table 2 takes the information from the Statement and rearranges the numbers slightly so you can see our total revenues for the year.

Table 2

	Governmental Activities	
	2024	2023
Revenues		
Program revenues		
Charges for services	\$ 2,503,330	\$ 2,182,597
Operating grants and contributions	228,269,193	211,127,277
Capital grants and contributions	1,874,744	29,359,763
General revenues		
Federal and State aid not restricted	412,793,345	392,490,663
Property taxes	36,055,588	33,596,884
Other general revenues	17,783,633	83,636,555
Total revenues	<u>699,279,833</u>	<u>752,393,739</u>
Expenses		
Instruction-related	448,778,033	405,926,459
Pupil services	84,881,843	74,183,763
Administration	29,053,070	24,504,940
Plant services	50,507,121	46,320,812
All other services	10,596,459	13,387,956
Total expenses	<u>623,816,526</u>	<u>564,323,930</u>
Change in net position	<u>\$ 75,463,307</u>	<u>\$ 188,069,809</u>

Governmental Activities

As reported in the Statement of Activities, the cost of all of our governmental activities this year was \$623,816,526. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$36,055,588 because the cost was paid by those who benefited from the programs totaling \$2,503,330, or by other governments and organizations who subsidized certain programs with grants and contributions totaling \$230,143,937. We paid for the remaining "public benefit" portion of our governmental activities with \$412,793,345 in Federal and State unrestricted revenues and \$17,783,633 in other revenues, such as interest, developer fees, and general entitlements.

In Table 3, we have presented the net cost of each of the District's largest functions: instruction-related, pupil services, administration, plant services, and all other services. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

Table 3

	Total Cost of Services		Net Cost of Services	
	2024	2023	2024	2023
Instruction-related	\$ 448,778,033	\$ 405,926,459	\$ (284,242,352)	\$ (209,965,360)
Pupil services	84,881,843	74,183,763	(45,509,786)	(39,577,833)
Administration	29,053,070	24,504,940	(24,429,706)	(18,918,817)
Plant services	50,507,121	46,320,812	(36,733,958)	(44,080,043)
All other services	10,596,459	13,387,956	(253,457)	(9,112,240)
Total	<u>\$ 623,816,526</u>	<u>\$ 564,323,930</u>	<u>\$ (391,169,259)</u>	<u>\$ (321,654,293)</u>

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$438,149,641, which is an increase of \$55,820,303 from last year (Table 4).

Table 4

Governmental Fund	Balances and Activity			
	July 1, 2023	Revenues and Other Financing Sources	Expenditures and Other Financing Uses	June 30, 2024
General	\$ 293,301,289	\$ 655,652,502	\$ 609,829,539	\$ 339,124,252
Student Activities	180,650	558,760	597,805	141,605
Child Development	918,544	6,739,602	5,614,607	2,043,539
Cafeteria	11,292,282	34,167,751	28,658,939	16,801,094
Building	30,057,766	1,507,729	455,303	31,110,192
Capital Facilities	5,691,248	1,810,859	28,554	7,473,553
County School Facilities	35,893,052	1,874,745	8,076,977	29,690,820
Special Reserve Fund for Capital Outlay Projects	95,184	6,929,910	-	7,025,094
Bond Interest and Redemption	4,899,323	7,828,576	7,988,407	4,739,492
Total	<u>\$ 382,329,338</u>	<u>\$ 717,070,434</u>	<u>\$ 661,250,131</u>	<u>\$ 438,149,641</u>

The primary reasons for the changes are:

- a. Our General Fund is our principal operating fund. The fund balance in the General Fund increased \$45,822,963 to \$339,124,252. The total revenues decreased \$32,715,216 over the prior year, primarily due to reductions in COVID-19 pandemic revenues. Spending on educational services increased but not at the same rate as revenues decreased. Significant increases in fund balances in the prior year were spent down with the implementation of learning loss and expanded learning programs.
- b. Our special revenue funds reported a net increase of \$6,594,762. The change was due primarily to an increase in State and Federal revenues from school nutrition programs meal reimbursements.
- c. The fund balance in the Bond Interest and Redemption Fund decreased \$159,831 due primarily to the debt service payments for existing general obligation bond issuances exceeding current year tax collections.
- d. The capital outlay funds showed a net increase of \$3,562,409 due primarily from the General Fund transferring \$7,000,000 into the Special Reserve Fund for Capital Outlay Projects for future site acquisitions and capital projects.

General Fund Budgetary Highlights

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted on September 23, 2024. A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report.

The District originally budgeted a decrease in the General Fund balance of \$59,402,679. Although revenues and other sources were \$64,241,592 less than budgeted, expenditures, including transfers out, were \$169,467,234 less than budgeted, leaving the fund with an increase of \$45,822,963.

CAPITAL ASSETS AND LONG-TERM LIABILITIES

Capital Assets

At June 30, 2024, the District had \$330,716,822 in a broad range of capital assets, right-to-use leased assets, and right-to-use subscription IT assets (net of depreciation and amortization expenses), including land, buildings, furniture, equipment, right-to-use leased assets, and right-to-use subscription IT assets. This amount represents a net increase (including additions, deductions, and depreciation) of \$14,052,742, or 4.43%, from last year (Table 5).

Table 5

	Governmental Activities	
	2024	2023
Land and construction in progress	\$ 67,196,251	\$ 79,964,101
Buildings and improvements	237,380,168	221,013,950
Equipment	21,114,327	9,837,564
Right-to-use leased assets	3,383,696	3,504,283
Right-to-use subscription IT assets	1,642,380	2,344,181
Total	<u>\$ 330,716,822</u>	<u>\$ 316,664,079</u>

This year's additions of \$33,749,057 included on-going construction projects, various site improvements, portable classrooms, various site modernization projects, vehicles, leased assets and subscription IT assets. Before the start of the 2023-2024 fiscal year, general obligation bonds were issued to help finance on-going construction projects.

Several capital projects are planned for the 2024-2025 year. We anticipate capital additions to be approximately \$80,000,000 for the 2024-2025 year. We present more detailed information about our capital assets, right-to-use leased assets, and right-to-use subscription IT assets in the Notes to Financial Statements.

Long-Term Liabilities

At the end of this year, the District had \$691,823,940 in long-term liabilities versus \$654,651,434 last year, an increase of 5.7%. The outstanding liabilities consisted of:

Table 6

	Governmental Activities	
	2024	2023
Long-Term Liabilities		
General obligation bonds	\$ 140,557,018	\$ 142,568,002
Unamortized premiums/(discounts)	3,592,912	3,867,565
Financed purchase agreements	1,759,590	1,906,015
Leases	3,012,892	3,148,624
Subscription-based IT arrangements	1,139,162	1,240,811
Compensated absences	3,671,023	2,991,611
Claims liability	11,946,708	11,803,352
Net OPEB liability	112,490,274	108,061,215
Aggregate net pension liability	413,654,361	379,064,239
Total	<u>\$ 691,823,940</u>	<u>\$ 654,651,434</u>

The District's general obligation bond ratings continue to be "AA and Aa3" from Standard & Poor's and Moody's, respectively.

In addition, the District reported deferred outflows of resources from pension activities of \$135,935,174, and deferred inflows of resources from pension activities of \$18,535,675, which along with the aggregate net pension liability of \$413,654,361, had a negative impact on the District's net position of \$296,254,862.

We present more detailed information regarding our long-term liabilities in the Notes to Financial Statements.

FACTORS BEARING ON THE DISTRICT'S FUTURE

The primary source of revenue for the District is provided through the Local Control Funding Formula (LCFF), which provides funding to school districts based on a per student attendance rate. An 8.22% COLA was provided by the State on LCFF funding during the 2023-2024 fiscal year. The 2023-2024 LCFF also included a TK add on rate of \$3,044 per TK ADA to assist districts with the costs of lower TK classroom ratios.

In efforts to mitigate declining enrollment the 2023-2024 LCFF Formula includes a computed average using the three prior year's ADA (2022-2023; 2021-2022; 2020-2021), and a one-time attendance yield adjustment, which allowed the District to maintain the 2019-2020 attendance rate of 95.60% for the 2021-2022 school year. The application of the three-year computed average, and the attendance yield resulted in enhancements to fund ADA in 2023-2024. However, future years will not have the same implications as the 2021-2022 one-time attendance yield adjustment will no longer be a factor in LCFF Formula and the LCFF funding will decrease.

Increases in operating costs from step-and-column increases, salary schedule increases, memorandums of understanding used to address payments/stipends, employer pension increases, minimum wage increases, increase in goods and supplies, and growing utility costs were outpaced by unintended budget savings resulting from one-time funds related to the COVID-19 pandemic.

One-time prior year unspent federal revenues rolled forward into the 2023-2024 school year as a result of unexpected labor shortages which include the replacement of HVAC chiller systems at 10 school sites. In addition, receipt of state revenues related to the LCFF Equity Multiplier, Literacy Coaches and Reading Specialist Grant, and Arts and Music in Schools (Proposition 28) were recognized in the 2023-2024.

Moving forward to the 2024-2025 fiscal year and beyond, the District will continue to monitor enrollment trends to ensure District staffing and service delivery models are appropriately aligned to the student population served by the District, the expansion of TK and program needs.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances, and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Bakersfield City School District, Fiscal Services Department, 1300 Baker Street, Bakersfield, California, 93305.

Bakersfield City School District
Statement of Net Position
June 30, 2024

	<u>Governmental Activities</u>
Assets	
Deposits and investments	\$ 515,844,173
Receivables	39,120,937
Stores inventories	787,230
Capital assets not depreciated or amortized	67,196,251
Capital assets, net of accumulated depreciation and amortization	<u>263,520,571</u>
Total assets	<u>886,469,162</u>
Deferred Outflows of Resources	
Deferred outflows of resources related to OPEB	14,340,450
Deferred outflows of resources related to pensions	<u>135,935,174</u>
Total deferred outflows of resources	<u>150,275,624</u>
Liabilities	
Accounts payable	66,854,361
Unearned revenue	3,412,044
Long-term liabilities	
Long-term liabilities other than OPEB and pensions due within one year	5,972,805
OPEB liability due in one year	4,391,208
Long-term liabilities other than OPEB and pensions due in more than one year	159,706,500
Net other postemployment benefits liability (OPEB)	108,099,066
Aggregate net pension liabilities	<u>413,654,361</u>
Total liabilities	<u>762,090,345</u>
Deferred Inflows of Resources	
Deferred inflows of resources related to OPEB	48,161,920
Deferred inflows of resources related to pensions	<u>18,535,675</u>
Total deferred inflows of resources	<u>66,697,595</u>
Net Position	
Net investment in capital assets	227,495,839
Restricted for	
Debt service	4,739,492
Capital projects	37,164,373
Educational programs	172,073,833
Child nutrition	16,251,690
Student activities	141,605
Unrestricted (deficit)	<u>(249,909,986)</u>
Total net position	<u><u>\$ 207,956,846</u></u>

Bakersfield City School District

Statement of Activities Year Ended June 30, 2024

Functions/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position Governmental Activities
		Charges for Services and Sales	Operating Grants and Contributions	Capital Grants and Contributions	
Governmental Activities					
Instruction	\$ 381,394,780	\$ 19,343	\$ 144,826,383	\$ 1,874,744	\$ (234,674,310)
Instruction-related activities					
Supervision of instruction	34,428,050	-	15,393,357	-	(19,034,693)
Instructional library, media, and technology	208,701	-	630,229	-	421,528
School site administration	32,746,502	-	1,791,625	-	(30,954,877)
Pupil services					
Home-to-school transportation	17,699,509	-	904,903	-	(16,794,606)
Food services	28,243,961	19,493	30,951,956	-	2,727,488
All other pupil services	38,938,373	78,323	7,417,382	-	(31,442,668)
Administration					
Data processing	6,827,970	-	13,642	-	(6,814,328)
All other administration	22,225,100	14,742	4,594,980	-	(17,615,378)
Plant services	50,507,121	94,465	13,678,698	-	(36,733,958)
Ancillary services	1,523,199	558,760	74,052	-	(890,387)
Community services	5,249,199	9,348	554,845	-	(4,685,006)
Enterprise services	305,656	62,933	273,893	-	31,170
Interest on long-term liabilities	7,614,438	-	-	-	(7,614,438)
Other outgo	(4,096,033)	1,645,923	7,163,248	-	12,905,204
Total governmental activities	<u>\$ 623,816,526</u>	<u>\$ 2,503,330</u>	<u>\$ 228,269,193</u>	<u>\$ 1,874,744</u>	<u>(391,169,259)</u>
General Revenues and Subventions					
Property taxes, levied for general purposes					28,489,901
Property taxes, levied for debt service					6,782,272
Taxes levied for other specific purposes					783,415
Federal and State aid not restricted to specific purposes					412,793,345
Interest and investment earnings					15,152,806
Miscellaneous					2,630,827
Subtotal, general revenues and subventions					466,632,566
Change in Net Position					75,463,307
Net Position - Beginning					132,493,539
Net Position - Ending					<u>\$ 207,956,846</u>

Bakersfield City School District

Balance Sheet – Governmental Funds

June 30, 2024

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Assets				
Deposits and investments	\$ 380,258,256	\$ 30,841,043	\$ 58,298,342	\$ 469,397,641
Receivables	31,140,692	268,741	7,606,522	39,015,955
Due from other funds	1,348,254	-	4,735,139	6,083,393
Stores inventories	238,696	-	548,534	787,230
Total assets	\$ 412,985,898	\$ 31,109,784	\$ 71,188,537	\$ 515,284,219
Liabilities and Fund Balances				
Liabilities				
Accounts payable	\$ 65,097,511	\$ (408)	\$ 1,757,258	\$ 66,854,361
Due to other funds	5,519,919	-	1,348,254	6,868,173
Unearned revenue	3,244,216	-	167,828	3,412,044
Total liabilities	73,861,646	(408)	3,273,340	77,134,578
Fund Balances				
Nonspendable	304,338	-	549,404	853,742
Restricted	170,030,294	31,110,192	60,340,699	261,481,185
Committed	85,035,620	-	7,025,094	92,060,714
Unassigned	83,754,000	-	-	83,754,000
Total fund balances	339,124,252	31,110,192	67,915,197	438,149,641
Total liabilities and fund balances	\$ 412,985,898	\$ 31,109,784	\$ 71,188,537	\$ 515,284,219

Bakersfield City School District

Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position

June 30, 2024

Total Fund Balance - Governmental Funds		\$ 438,149,641
Amounts Reported for Governmental Activities in the Statement of Net Position are Different Because		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is	\$ 526,877,686	
Accumulated depreciation and amortization is	<u>(196,160,864)</u>	
Net capital assets		330,716,822
An internal service fund is used by management to charge the costs of the workers' compensation insurance program to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities in the statement of net position.		35,389,586
Deferred outflows of resources represent a consumption of net position in a future period and is not reported in the governmental funds. Deferred outflows of resources amounted to and related to		
Other postemployment benefits (OPEB)	14,340,450	
Net pension liability	<u>135,935,174</u>	
Total deferred outflows of resources		150,275,624
Deferred inflows of resources represent an acquisition of net position that applies to a future period and is not reported in the governmental funds. Deferred inflows of resources amount to and related to		
Other postemployment benefits (OPEB)	(48,161,920)	
Net pension liability	<u>(18,535,675)</u>	
Total deferred inflows of resources		(66,697,595)
Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds.		(413,654,361)
The District's OPEB liability is not due and payable in the current period, and is not reported as a liability in the funds.		(112,490,274)
Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.		
Long-term liabilities at year-end consist of		
General obligation bonds	(128,419,531)	
Financed purchase agreements	(1,759,590)	
Leases	(3,012,892)	
Subscription-based IT arrangements	(1,139,162)	
Compensated absences (vacations)	(3,671,023)	
In addition, capital appreciation general obligation bonds were issued. The accretion of interest to date on the general obligation bonds is	<u>(15,730,399)</u>	
Total long-term liabilities		<u>(153,732,597)</u>
Total net position - governmental activities		<u>\$ 207,956,846</u>

Bakersfield City School District
Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds
Year Ended June 30, 2024

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Revenues				
Local Control Funding Formula (LCFF)	\$ 426,082,274	\$ -	\$ -	\$ 426,082,274
Federal sources	90,149,753	-	28,430,206	118,579,959
Other State sources	110,994,612	-	12,342,077	123,336,689
Other local sources	25,228,968	1,507,729	12,137,920	38,874,617
Total revenues	652,455,607	1,507,729	52,910,203	706,873,539
Expenditures				
Current				
Instruction	369,206,312	-	4,747,296	373,953,608
Instruction-related activities				
Supervision of instruction	34,175,951	-	307,990	34,483,941
Instructional library, media, and technology	838,239	-	-	838,239
School site administration	32,683,822	-	93,379	32,777,201
Pupil services				
Home-to-school transportation	17,650,327	-	-	17,650,327
Food services	892,473	-	27,375,167	28,267,640
All other pupil services	38,987,159	-	-	38,987,159
Administration				
Data processing	8,168,387	-	-	8,168,387
All other administration	19,337,602	-	687,234	20,024,836
Plant services	50,079,066	-	785,590	50,864,656
Ancillary services	930,735	-	597,805	1,528,540
Community services	5,216,189	-	-	5,216,189
Other outgo	903,967	-	-	903,967
Enterprise services	-	-	305,444	305,444
Facility acquisition and construction	20,025,184	455,303	8,076,977	28,557,464
Debt service				
Principal	3,577,710	-	3,800,000	7,377,710
Interest and other	156,416	-	4,188,407	4,344,823
Total expenditures	602,829,539	455,303	50,965,289	654,250,131
Excess (Deficiency) of Revenues Over Expenditures	49,626,068	1,052,426	1,944,914	52,623,408
Other Financing Sources/(Uses)				
Transfers in	-	-	7,000,000	7,000,000
Proceeds from leases	1,540,301	-	-	1,540,301
Disposal of assets	2,991	-	-	2,991
Proceeds from subscription-based IT arrangements	1,653,603	-	-	1,653,603
Transfers out	(7,000,000)	-	-	(7,000,000)
Net Financing Sources/(Uses)	(3,803,105)	-	7,000,000	3,196,895
Net Change in Fund Balances	45,822,963	1,052,426	8,944,914	55,820,303
Fund Balance - Beginning	293,301,289	30,057,766	58,970,283	382,329,338
Fund Balance - Ending	\$ 339,124,252	\$ 31,110,192	\$ 67,915,197	\$ 438,149,641

Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2024

Total Net Change in Fund Balances - Governmental Funds	\$ 55,820,303
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Amounts Reported for Governmental Activities in the Statement of Activities are Different Because

Capital outlay to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation and amortization expense in the Statement of Activities.

This is the amount by which capital outlay exceed depreciation and amortization expense in the period.

Depreciation and amortization expense	\$ (19,613,851)
Capital outlay	<u>33,749,057</u>

Net expense adjustment	14,135,206
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The District issued capital appreciation general obligations bonds. This is the total accretion of interest on the general obligation bonds during the current fiscal year.

(1,789,016)

Gain (Loss) on disposal of capital assets is reported in the government-wide Statement of Net Position, but is not recorded in the governmental funds.

(82,463)

Right-to-use subscription IT assets acquired this year were financed with Subscription-Based IT Arrangements (SBITAs). The amount financed by the SBITAs is reported in the governmental funds as a source of financing. On the other hand, the SBITAs are not revenues in the Statement of Activities, but rather constitute long-term liabilities in the Statement of Net Position.

(1,653,603)

Right-to-use leased assets acquired this year were financed with leases. The amount financed by the leases is reported in the governmental funds as a source of financing. On the other hand, the leases are not revenues in the Statement of Activities, but rather constitute long-term liabilities in the Statement of Net Position.

(1,540,301)

In the Statement of Activities, certain operating expenses, such as compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This amount is the difference between vacation earned and used.

(679,412)

Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2024

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.

(425,726)

In the governmental funds, OPEB costs are based on employer contributions made to OPEB plans during the year. However, in the Statement of Activities, OPEB expense is the net effect of all changes in the deferred outflows, deferred inflows, and net OPEB liability during the year.

(1,538,206)

Governmental funds report the effect of premiums, discounts, and the deferred charge on refunding when the debt is first issued, whereas the amounts are deferred and amortized in the Statement of Activities.

Premium amortization	326,453
Discount amortization	(51,800)

Payment of principal on long-term liabilities is an expenditure in the governmental funds, but it reduces long-term liabilities in the Statement of Net Position and does not affect the Statement of Activities.

General obligation bonds	3,800,000
Financed purchase agreements	146,425
Leases	1,676,033
Subscription-based IT arrangements	1,755,252

An internal service fund is used by management to charge the costs of the self insurance program to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.

5,564,162

Change in net position of governmental activities

\$ 75,463,307

Bakersfield City School District
Statement of Net Position – Proprietary Funds
June 30, 2024

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Assets			
Current assets			
Deposits and investments	\$ 10,239,059	\$ 36,207,473	\$ 46,446,532
Receivables	60,734	44,248	104,982
Due from other funds	493,275	291,505	784,780
Total assets	<u>10,793,068</u>	<u>36,543,226</u>	<u>47,336,294</u>
Liabilities			
Noncurrent liabilities			
Claims liabilities	<u>6,446,044</u>	<u>5,500,664</u>	<u>11,946,708</u>
Net Position			
Restricted for insurance claims	<u>4,347,024</u>	<u>31,042,562</u>	<u>35,389,586</u>
Total net position	<u>\$ 4,347,024</u>	<u>\$ 31,042,562</u>	<u>\$ 35,389,586</u>

Bakersfield City School District
Statement of Revenues, Expenses, and Changes in Net Position – Proprietary Funds
Year Ended June 30, 2024

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Revenues			
Charges for services	\$ 1,920,845	\$ 66,125,977	\$ 68,046,822
Refunds and miscellaneous revenues	4,107	7,867,868	7,871,975
Total operating revenues	1,924,952	73,993,845	75,918,797
Operating Expenses			
Payments for claims	2,017,906	66,143,613	68,161,519
Contracted services	571,060	2,253,006	2,824,066
Total operating expenses	2,588,966	68,396,619	70,985,585
Operating Income/(Loss)	(664,014)	5,597,226	4,933,212
Nonoperating Revenues			
Fair market value adjustments	91,229	136,843	228,072
Interest income	332,656	70,222	402,878
Total nonoperating revenues	423,885	207,065	630,950
Change in Net Position	(240,129)	5,804,291	5,564,162
Total Net Position - Beginning	4,587,153	25,238,271	29,825,424
Total Net Position - Ending	\$ 4,347,024	\$ 31,042,562	\$ 35,389,586

Bakersfield City School District
Statement of Cash Flows – Proprietary Funds
Year Ended June 30, 2024

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Activities			
Cash receipts from operating funds	\$ 1,898,847	\$ 65,834,472	\$ 67,733,319
Cash receipts from refunds	4,107	7,867,868	7,871,975
Cash payments for claims	(2,366,975)	(65,830,888)	(68,197,863)
Cash payments for contracted services	(571,060)	(2,253,006)	(2,824,066)
Net Cash Provided by/(Used for) Operating Activities	(1,035,081)	5,618,446	4,583,365
Investing Activities			
Interest on investments	340,845	40,521	381,366
Change in fair market value	91,229	136,843	228,072
Net Cash Provided by Investing Activities	432,074	177,364	609,438
Net Change in Cash and Cash Equivalents	(603,007)	5,795,810	5,192,803
Cash and Cash Equivalents, Beginning	10,842,066	30,411,663	41,253,729
Cash and Cash Equivalents, Ending	\$ 10,239,059	\$ 36,207,473	\$ 46,446,532
Reconciliation of Operating Income/(Loss) to Net Cash Provided by/(Used for) Operating Activities			
Operating Income/(Loss)	\$ (664,014)	\$ 5,597,226	\$ 4,933,212
Changes in assets and liabilities			
Due from other fund	(21,998)	(291,505)	(313,503)
Accounts payable	(179,701)	-	(179,701)
Claims liabilities	(169,368)	312,725	143,357
Net Cash Provided by/(Used for) Operating Activities	\$ (1,035,081)	\$ 5,618,446	\$ 4,583,365

Note 1 - Summary of Significant Accounting Policies

Financial Reporting Entity

The Bakersfield City School District (the District) was established in 1882 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades PreK - 8 as mandated by the State and/or Federal agencies. The District operates 33 elementary schools, six middle schools, four junior high schools, one community day school, and two alternative sites for special education.

A reporting entity is comprised of the primary government and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Bakersfield City School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying out specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into two broad fund categories which are governmental and proprietary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 20, Special Reserve Other Postemployment Benefits Fund, and Fund 15, Pupil Transportation Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

- **Student Activities Fund** The Student Activities Fund is used to account separately for the operating activities of the associated student body accounts that are not fiduciary in nature, including student clubs, general operations, athletics, and other student body activities.
- **Child Development Fund** The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.
- **Cafeteria Fund** The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Capital Project Funds The Capital Project funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

- **Capital Facilities Fund** The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approval (*Education Code* Sections 17620-17626 and *Government Code* Section 65995 et seq.). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).
- **County School Facilities Fund** The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), the 2004 State School Facilities Fund (Proposition 55), the 2006 State School Facilities Fund (Proposition 1D), or the 2016 State School Facilities Fund (Proposition 51) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070.10 et seq.).
- **Special Reserve Fund for Capital Outlay Projects** The Special Reserve Fund for Capital Outlay Projects exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

Debt Service Funds The Debt Service funds are used to account for the accumulation of resources for, and the payment of, principal and interest on general long-term liabilities.

- **Bond Interest and Redemption Fund** The Bond Interest and Redemption Fund is used for the repayment of bonds issued for the District (*Education Code* Sections 15125-15262).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Proprietary funds include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

- **Internal Service Funds** Internal Service funds may be used to account for goods or services provided to other funds of the District on a cost-reimbursement basis. The District operates a Self-Insurance Workers' Compensation Fund and a Self-Insurance Healthcare Fund that are accounted for as internal service funds.

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, of the District and for each governmental function. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the Statement of Activities, except for depreciation of capital assets and amortization of leased assets and subscription IT assets. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major governmental funds are aggregated and presented in a single column. The internal service funds are presented in two columns on the face of the proprietary fund statements.

- **Governmental Funds** All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.
- **Proprietary Funds** Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of revenues, expenses and changes in net position presents increases (revenues) and decreases (expenses) in net position. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. The District considers revenues to be available if they are collected within one year after year-end, except for property taxes, which are considered available if collected within 60 days. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenues arise when resources are received by the District before it has a legal claim to them, such as when certain grants are received prior to the occurrence of qualifying expenditures. In the subsequent periods, when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and the revenue is recognized.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred. Principal and interest on long-term liabilities, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization expenses, are not recognized in the governmental funds but are recognized in the government-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

The District's investment in the county treasury is measured at fair value on a recurring basis, which is determined by the fair value per share of the underlying portfolio determined by the program sponsor. Positions in this investment pool are not required to be categorized within the fair value hierarchy.

Capital Assets, Depreciation, and Amortization

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$15,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at acquisition value on the date donated.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements, 10 to 35 years; equipment, 5 to 15 years.

The District records impairments of capital assets when it becomes probable that the carrying value of the assets will not be fully recovered over their estimated useful life. Impairments are recorded to reduce the carrying value of the assets to their net realizable value based on facts and circumstances in existence at the time of the determination. No impairments were recorded during the year ended June 30, 2024.

The District records the value of intangible right-to-use assets based on the underlying leased asset in accordance with GASB Statement No. 87, *Leases*. The right-to-use intangible asset is amortized each year for the term of the contract or useful life of the underlying asset.

The District records the value of right-to-use subscription IT assets based on the underlying subscription asset in accordance with GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*. The right-to-use subscription IT asset is amortized each year for the term of the contract or useful life of the underlying asset.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental activities column of the statement of net position.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accrued Liabilities and Long-Term Liabilities

All payables, accrued liabilities, and long-term liabilities are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full, from current financial resources are reported as liabilities of the governmental funds.

However, compensated absences, bonds and other long-term liabilities are recognized as liabilities in the entity-wide fund financial statements when due.

Debt Premiums and Discounts

In the government-wide financial statements, long-term liabilities are reported as liabilities in the statement of net position. Debt premiums and discounts are amortized over the life of the bonds using the straight-line method, which approximates the effective interest method.

In governmental fund financial statements, bond premiums and discounts, as well as debt issuance costs are recognized in the period the bonds are issued. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures in the period the bonds are issued.

Deferred Outflows of Resources and Deferred Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for pension related items and for OPEB related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources, for pension related items, and OPEB related items.

The deferred amounts related to pension and OPEB relate to differences between expected and actual earnings on investments, changes of assumptions, and other pension and OPEB related changes.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid by the fund in which the employee worked.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District Plan and the CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the District Plan and the MPP's fiduciary net position have been determined on the same basis as they are reported by the District Plan and the MPP. For this purpose, the District Plan and the MPP recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments and participating interest-earning investment contracts that have a maturity at the time of purchase of one year or less, which are reported at cost. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund.

Leases

The District recognizes a lease liability and an intangible right-to-use leased asset (leased asset) in the government-wide financial statements. At the commencement of the lease term, the District measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The leased asset is initially measured as the initial amount of the lease liability, plus certain initial direct costs. Subsequently, the leased asset is amortized on a straight-line basis over the lease term or useful life of the underlying asset.

Subscriptions

The District recognizes a subscription liability and an intangible right-to-use subscription IT asset (subscription IT asset) in the government-wide financial statements. At the commencement of the subscription term, the District measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription IT asset is initially measured as the initial amount of the subscription liability, plus certain initial direct costs. Subsequently, the subscription IT asset is amortized on a straight-line basis over the subscription term or useful life of the underlying asset. The amortization period varies from two to five years.

Fund Balances - Governmental Funds

As of June 30, 2024, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes. The District currently does not have any assigned funds.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$230,370,993 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are premiums charged to the operating funds to support the health and welfare and workers' compensation coverage. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Kern bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Note 2 - Deposits and Investments**Summary of Deposits and Investments**

Deposits and investments as of June 30, 2024, are classified in the accompanying financial statements as follows:

Governmental funds	\$ 469,397,641
Proprietary funds	<u>46,446,532</u>
Total deposits and investments	<u><u>\$ 515,844,173</u></u>

Deposits and investments as of June 30, 2024, consist of the following:

Cash on hand and in banks	\$ 342,528
Cash with fiscal agent	35,458,828
Cash in revolving	276,774
Investments	<u>479,766,043</u>
Total deposits and investments	<u><u>\$ 515,844,173</u></u>

Policies and Practices

The District is authorized under California *Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies; certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Investment in the State Investment Pool - The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by California *Government Code* Section 16429 under the oversight of the Treasurer of the State of California. The fair value of the District's investment in the Pool is reported in the accompanying financial statement at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District has a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and which also times cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations. The District maintains an investment of \$479,765,826 in the Kern County Treasury Investment Pool that has an average weighted maturity of 611 days.

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following schedule that shows the distribution of the District's investments by maturity:

Investment Type	Reported Amount	12 Months or Less	13 - 36 Months	37 - 60 Months
County Pool	\$ 479,765,826	\$ -	\$ 479,765,826	\$ -
Local Agency Investment Fund (LAIF)	217	217	-	-
Total	<u>\$ 479,766,043</u>	<u>\$ 217</u>	<u>\$ 479,765,826</u>	<u>\$ -</u>

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment in LAIF is not required to be rated, nor has it been rated as of June 30, 2024.

Investment Type	Reported Amount	Minimum Legal Rating	Rating as of Year End				
			A-1+, A-1, AAA	AA+, AA	AA-	A+	Unrated
County Pool	\$ 479,765,826	N/A	\$ 120,900,988	\$ 330,558,654	\$ 6,236,956	\$ 479,766	\$ 21,589,462
Local Agency Investment Fund (LAIF)	217	N/A	-	-	-	-	217
Total	<u>\$ 479,766,043</u>		<u>\$ 120,900,988</u>	<u>\$ 330,558,654</u>	<u>\$ 6,236,956</u>	<u>\$ 479,766</u>	<u>\$ 21,589,679</u>

N/A – Not applicable

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California *Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105% of the secured deposits. As of June 30, 2024, \$35,293,857 of the District's cash balance was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District. This amount includes funds held by fiscal agents for the District's food service program and its Self-Insurance Funds.

Note 3 - Receivables

Receivables at June 30, 2024, consist of intergovernmental grants, entitlements, interest and other local sources. All receivables are considered collectible in full.

	General Fund	Building Fund	Non-Major Governmental Funds	Governmental Funds Total	Proprietary Funds	Governmental Activities Total
Federal Government						
Categorical aid	\$ 19,701,689	\$ -	\$ 5,914,726	\$ 25,616,415	\$ -	\$ 25,616,415
State Government						
State grants and	10,498,155	-	776,073	11,274,228	-	11,274,228
entitlements	940,848	268,741	915,723	2,125,312	104,982	2,230,294
Local Sources						
Total	<u>\$ 31,140,692</u>	<u>\$ 268,741</u>	<u>\$ 7,606,522</u>	<u>\$ 39,015,955</u>	<u>\$ 104,982</u>	<u>\$ 39,120,937</u>

Bakersfield City School District

Notes to Financial Statements

June 30, 2024

Note 4 - Capital Assets

Capital assets activity for the fiscal year ended June 30, 2024, was as follows:

	Balance July 1, 2023	Additions	Deductions	Balance June 30, 2024
Governmental Activities				
Capital assets not being depreciated or amortized				
Land	\$ 16,944,451	\$ -	\$ -	\$ 16,944,451
Construction in progress	63,019,650	29,806,107	(42,573,957)	50,251,800
Total capital assets not being depreciated or amortized	79,964,101	29,806,107	(42,573,957)	67,196,251
Capital assets being depreciated and amortized				
Land improvements	69,860,785	8,553,160	-	78,413,945
Buildings and improvements	292,356,097	20,505,124	(24,576)	312,836,645
Furniture and equipment	41,341,628	14,264,719	(2,338,229)	53,268,118
Right-to-use leased buildings and improvements	5,151,636	728,165	(51,372)	5,828,429
Right-to-use leased furniture and equipment	1,152,071	812,136	(619,735)	1,344,472
Right-to-use subscription IT assets	7,211,321	1,653,603	(875,098)	7,989,826
Total capital assets being depreciated and amortized	417,073,538	46,516,907	(3,909,010)	459,681,435
Total capital assets	497,037,639	76,323,014	(46,482,967)	526,877,686
Accumulated depreciation and amortization				
Land improvements	(27,358,181)	(3,541,388)	-	(30,899,569)
Buildings and improvements	(113,844,751)	(9,133,475)	7,373	(122,970,853)
Furniture and equipment	(31,504,064)	(2,987,956)	2,338,229	(32,153,791)
Right-to-use leased buildings and improvements	(2,052,916)	(1,254,305)	51,372	(3,255,849)
Right-to-use leased furniture and equipment	(746,508)	(341,323)	554,475	(533,356)
Right-to-use subscription IT assets	(4,867,140)	(2,355,404)	875,098	(6,347,446)
Total accumulated depreciation and amortization	(180,373,560)	(19,613,851)	3,826,547	(196,160,864)
Net depreciable and amortizable capital assets	236,699,978	26,903,056	(82,463)	263,520,571
Governmental activities capital assets, net	\$ 316,664,079	\$ 56,709,163	\$ (42,656,420)	\$ 330,716,822

Bakersfield City School District

Notes to Financial Statements

June 30, 2024

Depreciation and amortization expense were charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 16,099,372
Home-to-school transportation	30,737
Food services	17,930
Community services	5,634
Data processing	448,393
All other administration	1,313,986
Plant services	<u>1,697,799</u>
Total depreciation and amortization expense - governmental activities	<u><u>\$ 19,613,851</u></u>

Note 5 - Interfund Transactions**Interfund Receivables/Payables (Due To/Due From)**

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2024, between major and non-major governmental funds and internal service funds are as follows:

The General Fund owes the Cafeteria Non-Major Governmental Fund for state unemployment insurance costs.	\$ 58
The General Fund owes the Cafeteria Non-Major Governmental Fund for a voided check.	274
The General Fund owes the Cafeteria Non-Major Governmental Fund for an expense transfer.	653,551
The General Fund owes the Cafeteria Non-Major Governmental Fund for prior year corrections.	28,686
The General Fund owes the Cafeteria Non-Major Governmental Fund for health and welfare costs.	1,281
The General Fund owes the Capital Facilities Non-Major Governmental Fund for an expense transfer.	4,051,276
The General Fund owes the Child Development Non-Major Governmental Fund for state unemployment insurance costs.	13
The General Fund owes the Self Insurance Fund for salary and benefits transfers.	369,082
The General Fund owes the Self Insurance Fund for workers' compensation claims.	415,698
The Cafeteria Non-Major Governmental Fund owes the General Fund for a prior year correction.	10,937
The Cafeteria Non-Major Governmental Fund owes the General Fund for retiree benefit costs.	177,694
The Cafeteria Non-Major Governmental Fund owes the General Fund for workers' compensation costs.	14,489
The Cafeteria Non-Major Governmental Fund owes the General Fund for indirect costs.	534,863
The Cafeteria Non-Major Governmental Fund owes the General Fund for June payroll checks in the revolving fund.	148
The Child Development Non-Major Governmental Fund owes the General Fund for retiree benefit costs.	44,576
The Child Development Non-Major Governmental Fund owes the General Fund for state unemployment insurance costs.	4,381
The Child Development Non-Major Governmental Fund owes the General Fund for indirect costs.	160,479
The Child Development Non-Major Governmental Fund owes the General Fund for postage.	1
The Child Development Non-Major Governmental Fund owes the General Fund for duplicating costs.	864
The Child Development Non-Major Governmental Fund owes the General Fund for curriculum lab costs.	5
The County School Facilities Non-Major Governmental Fund owes the General Fund for postage costs.	175
The County School Facilities Non-Major Governmental Fund owes the General Fund for a capital expenditure transfers.	399,642
Total	\$ 6,868,173

Operating Transfers

Interfund transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations. Interfund transfers for the year ended June 30, 2024, consist of the following:

The General Fund transferred to the Special Reserve Non-Major Governmental Fund for Capital Outlay Projects for site acquisitions and capital projects.	<u><u>\$ 7,000,000</u></u>
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Note 6 - Accounts Payable

Accounts payable at June 30, 2024, consist of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Governmental Activities Total
Vendor payables	\$ 15,699,493	\$ (408)	\$ 1,028,007	\$ 16,727,092
LCFF apportionment	1,262,413	-	-	1,262,413
Salaries and benefits	13,164,306	-	304,504	13,468,810
Federal and State apportionments	34,971,299	-	424,747	35,396,046
Total	<u><u>\$ 65,097,511</u></u>	<u><u>\$ (408)</u></u>	<u><u>\$ 1,757,258</u></u>	<u><u>\$ 66,854,361</u></u>

Note 7 - Unearned Revenue

Unearned revenue at June 30, 2024, consists of the following:

	General Fund	Non-Major Governmental Funds	Total
Federal financial assistance	\$ 1,958,299	\$ -	\$ 1,958,299
State categorical aid	1,011,723	167,828	1,179,551
Other local	274,194	-	274,194
Total	<u><u>\$ 3,244,216</u></u>	<u><u>\$ 167,828</u></u>	<u><u>\$ 3,412,044</u></u>

Note 8 - Long-Term Liabilities Other Than OPEB and Pensions**Summary**

The changes in the District's long-term liabilities other than OPEB and pensions during the year consisted of the following:

	Balance July 1, 2023	Additions	Deductions	Balance June 30, 2024	Due in One Year
Long-Term Liabilities					
General obligation bonds	\$ 142,568,002	\$ 1,789,016	\$ (3,800,000)	\$ 140,557,018	\$ 3,880,000
Unamortized debt premiums	4,415,309	-	(326,453)	4,088,856	-
Unamortized debt discounts	(547,744)	-	51,800	(495,944)	-
Financed purchase agreements	1,906,015	-	(146,425)	1,759,590	138,661
Leases	3,148,624	1,540,301	(1,676,033)	3,012,892	1,412,255
Subscription-based IT arrangements	1,240,811	1,653,603	(1,755,252)	1,139,162	541,889
Compensated absences	2,991,611	679,412	-	3,671,023	-
Claims liability, see Note 11	11,803,352	68,304,875	(68,161,519)	11,946,708	-
Total	<u>\$ 167,525,980</u>	<u>\$ 73,967,207</u>	<u>\$ (75,813,882)</u>	<u>\$ 165,679,305</u>	<u>\$ 5,972,805</u>

Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local tax revenues. The premiums and discounts will be amortized over the life of the related debt. The financed purchase agreements, leases, and subscription-based IT arrangements will be paid by the General Fund. The compensated absences will be paid by the fund for which the employee worked. The District is self insured for the claims liability which is funded through the District's Self Insurance Fund.

General Obligation Bonds

The outstanding general obligation bonded debt is as follows:

Series	Fiscal Year of Final Maturity	Interest Rate %	Original Issue	Bonds Outstanding July 1, 2023	Interest Accreted	Redeemed	Bonds Outstanding June 30, 2024
Capital Appreciation Bonds:							
2012, C	2047	5.75-5.90	\$ 16,146,619	\$ 16,146,619	\$ -	\$ -	\$ 16,146,619
Accreted interest on 2012 C bonds				13,941,383	1,789,016	-	15,730,399
2012, B	2033	4.39	18,050,000	14,900,000	-	(705,000)	14,195,000
2015, A	2032	2.00-5.00	25,930,000	19,750,000	-	(1,305,000)	18,445,000
2015, E	2039	4.656-5.00	12,770,000	11,190,000	-	(425,000)	10,765,000
2017, A	2047	3.00-5.50	22,000,000	15,780,000	-	(335,000)	15,445,000
2017, B	2049	2.00-5.00	22,000,000	17,860,000	-	-	17,860,000
2022, C	2052	2.50-5.00	33,000,000	33,000,000	-	(1,030,000)	31,970,000
Total				<u>\$ 142,568,002</u>	<u>\$ 1,789,016</u>	<u>\$ (3,800,000)</u>	<u>\$ 140,557,018</u>

Debt Service Requirements to Maturity

The capital appreciation bonds mature as follows:

Bonds Maturing Fiscal Year	Initial Bond Value	Accreted Interest	Accreted Obligation	Unaccreted Interest	Maturity Value
2037	\$ 2,383,047	\$ 2,270,053	\$ 4,653,100	\$ 3,096,900	\$ 7,750,000
2042	5,196,108	5,008,338	10,204,446	6,865,554	17,070,000
2047	8,567,464	8,452,008	17,019,472	11,700,528	28,720,000
Total	<u>\$ 16,146,619</u>	<u>\$ 15,730,399</u>	<u>\$ 31,877,018</u>	<u>\$ 21,662,982</u>	<u>\$ 53,540,000</u>

The convertible bonds have the following mandatory early redemption requirements:

Fiscal Year	Principal	Interest to Maturity	Total
2032-2036	\$ 5,395,000	\$ 9,110,470	\$ 14,505,470
2037-2041	15,215,000	12,546,593	27,761,593
2042-2046	26,035,000	6,943,335	32,978,335
2047	6,895,000	406,805	7,301,805
Total	<u>\$ 53,540,000</u>	<u>\$ 29,007,203</u>	<u>\$ 82,547,203</u>

The current interest bonds mature as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2025	\$ 3,880,000	\$ 4,005,507	\$ 7,885,507
2026	3,450,000	3,824,423	7,274,423
2027	4,025,000	3,646,051	7,671,051
2028	4,175,000	3,452,117	7,627,117
2029	4,650,000	3,246,547	7,896,547
2030-2034	27,405,000	12,880,827	40,285,827
2035-2039	13,600,000	8,743,036	22,343,036
2040-2044	14,380,000	6,093,534	20,473,534
2045-2049	21,070,000	3,402,850	24,472,850
2050-2052	12,045,000	558,975	12,603,975
Total	<u>\$ 108,680,000</u>	<u>\$ 49,853,867</u>	<u>\$ 158,533,867</u>

Financed Purchase Agreements

The District has entered into agreements to finance the purchase of a classroom portable and equipment. The District's liability on the agreements is summarized below:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2025	\$ 138,661	\$ 41,678	\$ 180,339
2026	142,106	38,233	180,339
2027	145,637	34,702	180,339
2028	149,256	31,083	180,339
2029	152,965	27,374	180,339
2030-2034	823,765	77,931	901,696
2035-2036	207,200	3,196	210,396
Total	<u>\$ 1,759,590</u>	<u>\$ 254,197</u>	<u>\$ 2,013,787</u>

Leases

The District has entered into agreements to lease various facilities and equipment. The District's liability on lease agreements is summarized below:

<u>Lease</u>	<u>Leases Outstanding July 1, 2023</u>	<u>Addition</u>	<u>Payments</u>	<u>Leases Outstanding June 30, 2024</u>
Portable classrooms, restrooms and construction storage	\$ 2,739,569	\$ 728,165	\$ (1,277,744)	\$ 2,189,990
High production copiers - 3 black and white and 3 color	409,055	812,136	(398,289)	822,902
Total	<u>\$ 3,148,624</u>	<u>\$ 1,540,301</u>	<u>\$ (1,676,033)</u>	<u>\$ 3,012,892</u>

Portable Classrooms, Restrooms and Construction Storage

The District entered into several agreements (over 100) to lease portable classrooms, portable restrooms and construction storage at various sites throughout the District, beginning 2018 through 2029. The leases begin and end at various dates between the years noted and are for an average of three to five years. Under the terms of the lease, the District will pay annual payments between \$3,520 and \$46,600; depending on size of the portable and how many are included in the specific lease. The annual interest rate charged on the lease is 3.0%. At June 30, 2024, the District has recognized right-to-use leased assets of \$2,572,580 (net of accumulated amortization) and a total lease liability of \$2,189,990 related to these lease agreements. During the fiscal year, the District recorded \$1,254,305 in amortization expense and \$1,277,744 in principal and \$70,998 in interest payments for the right-to-use the portables. The District also pays for lighting, heat, custodial and maintenance services for each portable, which is not included in the measurement of the lease liability as they are variable in nature.

High Production Copiers

The District entered an agreement to lease copiers for three and five years, beginning May 2022 and August 2023; respectively. Under the terms of the leases, the District will pay monthly payments for each. The monthly interest rate charged on the leases is 0.25%. At June 30, 2024, the District has recognized right-to-use leased assets of \$811,116 (net of accumulated amortization) and a lease liability of \$822,902 related to these agreements. During the fiscal year, the District recorded \$341,323 in amortization expense and \$398,289 in principal and \$27,442 in interest payments for the right-to-use the copiers. The District also pays for each additional copy in excess of the contracted amount, which is not included in the measurement of the lease liability as they are variable in nature.

The remaining principal and interest payment requirements for the lease obligation debt as of June 30, 2024 are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 1,412,255	\$ 6,512	\$ 1,418,767
2026	926,189	29,261	955,450
2027	359,682	14,812	374,494
2028	292,771	4,976	297,747
2029	21,995	2	21,997
Total	<u>\$ 3,012,892</u>	<u>\$ 55,563</u>	<u>\$ 3,068,455</u>

Subscriptions-Based Information Technology Arrangements (SBITAs)

The District entered into SBITAs for the general operations of the District. At June 30, 2024, the District recognized a right-to-use subscriptions IT asset of \$1,642,380 (net of accumulated amortization) and a SBITA liability of \$1,139,162 related to these agreements. During the fiscal year, the District recorded \$2,355,404 in amortization expense and \$24,061 in interest expense. The subscription has an interest rate of 3.0%.

The remaining principal and interest payment requirements for the SBITA obligation debt as of June 30, 2024, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 541,889	\$ 24,266	\$ 566,155
2026	482,190	8,842	491,032
2027	56,679	1,781	58,460
2028	58,404	5	58,409
Total	<u>\$ 1,139,162</u>	<u>\$ 34,894</u>	<u>\$ 1,174,056</u>

Compensated Absences

Compensated absences (unpaid employee vacation) for the District at June 30, 2024, amounted to \$3,671,023.

Note 9 - Other Postemployment Benefit (OPEB) Liability

For the fiscal year ended June 30, 2024, the District reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense for the following plans:

OPEB Plan	Net OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
District Plan	\$ 111,155,285	\$ 14,340,450	\$ 48,161,920	\$ 6,043,869
Medicare Premium Payment (MPP) Program	1,334,989	-	-	(114,455)
Total	<u>\$ 112,490,274</u>	<u>\$ 14,340,450</u>	<u>\$ 48,161,920</u>	<u>\$ 5,929,414</u>

The details of each plan are as follows:

District Plan

Plan Administration

The District's governing board administers the Postemployment Benefits Plan (the Plan). The Plan is a single-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB) for eligible retirees and their spouses. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Plan Membership

At June 30, 2023, the valuation date, the Plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits payments	240
Active employees	<u>3,613</u>
Total	<u>3,853</u>

Benefits Provided

The District's Retiree Health Insurance Program is a single-employer defined benefit postemployment healthcare plan administered by the Blue Cross Prudent Buyer Classic medical plan and the Navitus Health Solution prescription drug plan. For certificated members with a hire date prior to January 1, 2007 and classified members hired prior to June 1, 2007 (classified members who are part time and were hired prior to 1992 are counted as full-time members for eligibility), the District provides District-paid medical coverage for full-time employees who retire on or after attaining age 55 with at least ten years of service and are eligible to retire.

Contributions

The contribution requirements of Plan members and the District are established and may be amended by the District, the Bakersfield Elementary Teacher Association (BETA), the local California Service Employees Association (CSEA), Laborers International Union of North America (LIUNA), and unrepresented groups. There are no required contributions over and above those needed to fund current premiums. For the measurement period of June 30, 2024, the District contributed \$4,391,208 to the Plan which was used for current premiums.

Total OPEB Liability of the District

The District's total OPEB liability of \$111,155,285 was measured as of June 30, 2024, and was determined by actuarial roll-forward report with a June 30, 2023, valuation.

Actuarial Assumptions

The total OPEB liability as of June 30, 2024, was determined by applying updated procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total OPEB liability to June 30, 2024. The following assumptions were applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.50%
Salary increases	2.75%, average, including inflation
Discount rate	3.93%
Healthcare cost trend rates	4.0%
Retirees' share of benefit-related costs	Retirees do not contribute towards premiums

The discount rate was based on the Bond Buyer 20-bond General Obligation Index.

The mortality assumptions are based on the 2020 CalSTRS Mortality table created by CalSTRS. CalSTRS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. This table incorporates mortality projection as deemed appropriate based on CalSTRS analysis.

The mortality assumptions are based on the 2021 CalPERS Mortality for Miscellaneous and Schools Employees. CalPERS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. These tables incorporate mortality projection as deemed appropriate based on CalPERS analysis.

The actuarial assumptions used in the June 30, 2023, valuation were based on the plan experience through June 30, 2023.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance, June 30, 2023	<u>\$ 106,611,771</u>
Service cost	7,674,479
Interest	3,951,249
Changes of assumptions or other inputs	(2,691,006)
Benefit payments	<u>(4,391,208)</u>
Net change in total OPEB liability	<u>4,543,514</u>
Balance, June 30, 2024	<u><u>\$ 111,155,285</u></u>

Changes in Benefit Terms - There were not changes in the benefit terms since the previous valuation.

Changes in Assumptions - The discount rate assumption was changed from 3.65% to 3.93% since the previous measurement.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Total OPEB Liability
1% decrease (2.93%)	\$ 120,474,578
Current discount rate (3.93%)	111,155,285
1% increase (4.93%)	102,907,737

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percent lower or higher than the current healthcare costs trend rate:

<u>Healthcare Cost Trend Rate</u>	<u>Total OPEB Liability</u>
1% decrease (3%)	\$ 97,334,730
Current healthcare cost trend rate (4%)	111,155,285
1% increase (5%)	127,521,493

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2024, the District recognized OPEB expense of \$6,043,869. At June 30, 2024, the District reported deferred outflows of resources and deferred inflow of resources related to OPEB from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ 1,958,235	\$ 14,308,000
Changes of assumptions	12,382,215	33,853,920
Total	<u>\$ 14,340,450</u>	<u>\$ 48,161,920</u>

Amounts reported as deferred outflows and inflows of resources related to changes of assumptions and differences in the expected and actual experience will be amortized over the Expected Average Remaining Service Life (EARS�) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period and will be recognized in OPEB expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2025	\$ 1,798,718	\$ 7,380,577
2026	1,798,718	7,048,838
2027	1,798,718	6,551,225
2028	1,798,718	6,551,225
2029	1,798,713	6,551,223
Thereafter	5,346,865	14,078,832
Total	<u>\$ 14,340,450</u>	<u>\$ 48,161,920</u>

Medicare Premium Payment (MPP) Program

Plan Description

The Medicare Premium Payment (MPP) Program is administered by the California State Teachers' Retirement System (CalSTRS). The MPP Program is a cost-sharing multiple-employer other postemployment benefit plan (OPEB) established pursuant to Chapter 1032, Statutes 2000 (SB 1435). CalSTRS administers the MPP Program through the Teachers' Health Benefits Fund (THBF).

A full description of the MPP Program regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2022 annual actuarial valuation report, Medicare Premium Payment Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The MPP Program pays Medicare Part A premiums and Medicare Parts A and B late enrollment surcharges for eligible members of the State Teachers Retirement Plan (STRP) Defined Benefit (DB) Program who were retired or began receiving a disability allowance prior to July 1, 2012 and were not eligible for premium free Medicare Part A. The payments are made directly to the Centers for Medicare and Medicaid Services (CMS) on a monthly basis.

The MPP Program is closed to new entrants as members who retire after July 1, 2012, are not eligible for coverage under the MPP Program.

The MPP Program is funded on a pay-as-you go basis from a portion of monthly District benefit payments. In accordance with California *Education Code* Section 25930, contributions that would otherwise be credited to the DB Program each month are instead credited to the MPP Program to fund monthly program and administrative costs. Total redirections to the MPP Program are monitored to ensure that total incurred costs do not exceed the amount initially identified as the cost of the program.

Net OPEB Liability and OPEB Expense

At June 30, 2024, the District reported a liability of \$1,334,989 for its proportionate share of the net OPEB liability for the MPP Program. The net OPEB liability was measured as of June 30, 2023, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2022. The District's proportion of the net OPEB liability was based on a projection of the District's long-term share of contributions to the OPEB Plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2023 and June 30, 2022, respectively, was 0.4400% and 0.4400%, resulting in no change in the proportionate share.

For the year ended June 30, 2024, the District recognized OPEB expense of \$(114,455).

Actuarial Methods and Assumptions

The June 30, 2023 total OPEB liability was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2022, and rolling forward the total OPEB liability to June 30, 2023, using the assumptions listed in the following table:

Measurement Date	June 30, 2023	June 30, 2022
Valuation Date	June 30, 2022	June 30, 2021
Experience Study	July 1, 2015 through June 30, 2018	July 1, 2015 through June 30, 2018
Actuarial Cost Method	Entry age normal	Entry age normal
Investment Rate of Return	3.65%	3.54%
Medicare Part A Premium Cost Trend Rate	4.50%	4.50%
Medicare Part B Premium Cost Trend Rate	5.40%	5.40%

For the valuation as of June 30, 2022, CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among members. The projection scale was set equal to 110% of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

Assumptions were made about future participation (enrollment) into the MPP Program because CalSTRS is unable to determine which members not currently participating meet all eligibility criteria for enrollment in the future. Assumed enrollment rates were derived based on past experience and are stratified by age with the probability of enrollment diminishing as the members' age increases. This estimated enrollment rate was then applied to the population of members who may meet criteria necessary for eligibility and are not currently enrolled in the MPP Program. Based on this, the estimated number of future enrollments used in the financial reporting valuation was 179 or an average of 0.13% of the potentially eligible population (138,780).

The MPP Program is funded on a pay-as-you-go basis with contributions generally being made at the same time and in the same amount as benefit payments and expenses coming due. Any funds within the MPP Program as of June 30, 2023, were to manage differences between estimated and actual amounts to be paid and were invested in the Surplus Money Investment Fund, which is a pooled investment program administered by the State Treasurer.

Discount Rate

As the MPP Program is funded on a pay-as-you-go basis, the OPEB plan's fiduciary net position was not projected to be sufficient to make projected future benefit payments. Therefore, the MPP Program used the Bond Buyer's 20-Bond GO Index from Bondbuyer.com as of June 30, 2023, as the discount rate, which was applied to all periods of projected benefit payments to measure the total OPEB liability. The discount rate as of June 30, 2023, was 3.65%, which is an increase of 0.11% from 3.54% as of June 30, 2022.

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net OPEB liability calculated using the current discount rate, as well as what the net OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net OPEB Liability
1% decrease (2.65%)	\$ 1,450,858
Current discount rate (3.65%)	1,334,989
1% increase (4.65%)	1,234,240

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Medicare Costs Trend Rates

The following presents the District's proportionate share of the net OPEB liability calculated using the Medicare costs trend rates, as well as what the net OPEB liability would be if it were calculated using Medicare costs trend rates that are one percent lower or higher than the current rates:

Medicare Costs Trend Rates	Net OPEB Liability
1% decrease (3.50% Part A and 4.40% Part B)	\$ 1,228,322
Current Medicare costs trend rates (4.50% Part A and 5.40% Part B)	1,334,989
1% increase (5.50% Part A and 6.40% Part B)	1,455,412

Bakersfield City School District

Notes to Financial Statements

June 30, 2024

Note 10 - Fund Balances

Fund balances are composed of the following elements:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Nonspendable				
Revolving cash	\$ 65,642	\$ -	\$ 870	\$ 66,512
Stores inventories	238,696	-	548,534	787,230
Total nonspendable	304,338	-	549,404	853,742
Restricted				
Legally restricted programs	170,030,294	-	-	170,030,294
Student activities	-	-	141,605	141,605
Childcare programs	-	-	2,043,539	2,043,539
Food service	-	-	16,251,690	16,251,690
Capital projects	-	31,110,192	37,164,373	68,274,565
Debt service	-	-	4,739,492	4,739,492
Total restricted	170,030,294	31,110,192	60,340,699	261,481,185
Committed				
Other postemployment benefits	17,645,306	-	-	17,645,306
2020-2021 Supplemental and concentration	20,129,000	-	-	20,129,000
2021-2022 Supplemental and concentration	16,910,045	-	-	16,910,045
2022-2023 Supplemental and concentration	14,202,237	-	-	14,202,237
2023-2024 Supplemental and concentration	9,639,066	-	-	9,639,066
Major site and infrastructure maintenance	954,365	-	-	954,365
Pupil transportation	5,555,601	-	-	5,555,601
Capital projects	-	-	7,025,094	7,025,094
Total committed	85,035,620	-	7,025,094	92,060,714
Unassigned				
Reserve for economic uncertainties	17,989,069	-	-	17,989,069
Remaining unassigned	65,764,931	-	-	65,764,931
Total unassigned	83,754,000	-	-	83,754,000
Total	\$ 339,124,252	\$ 31,110,192	\$ 67,915,197	\$ 438,149,641

Note 11 - Risk Management**Joint Powers Agreements**

The District participates in a joint powers agreement (JPA) with the Self-Insured Schools of California for its property and liability coverage (SISC II) and health and welfare benefits (SISC III). The District has entered into a service contract with the Self-Insured Schools of California Workers' Compensation (SISC I) program to provide claims administration services for the District's workers' compensation claims.

A board consisting of representatives from member districts governs each SISC JPA. The governing boards control the operation of the JPAs independent of any influence by the District beyond the District's representation on the governing board(s). Each JPA is independently accountable for its fiscal matters. These JPAs have budget and financial reporting requirements separate and independent from its member districts and are not subject to any approval other than that of the JPA governing board.

Property and Liability

The District is exposed to various risks of loss related to torts; theft, damage, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2024, the District contracted with Self-Insured Schools of California Property and Liability Program (SISC II) for property and liability insurance coverage. Member districts pay a premium commensurate with the level of coverage requested and share surpluses and deficits proportionately to their participation. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2024, the District is self-insured for workers' compensation. The self-insurance program started in 1983-1984. The District has been self-insuring its workers' compensation program in California in accordance with *Insurance Code* 11870. The District entered into a service contract with Self-Insured Schools of California Workers' Compensation (SISC I) effective July 1, 1995, to provide claims administration services. The District pays an annual service fee to SISC I for these services. The District pays directly to Walter Mortensen Insurance the premium for excess workers' compensation coverage. Self-insured retention is currently \$1,000,000. The District pays directly to the Kern Foundation for Medical Care the fees for the Medical Provider Network (MPN) services. The District is responsible for obtaining its own actuarial valuation. The Self Insured Schools of California provides actuarial services for the District.

Employee Medical Benefits

The District has contracted with the Self-Insured Schools of California Health and Welfare Benefits JPA (SISC III) to provide employee medical benefits. SISC III is a shared risk pool. Rates are set through an annual utilization review and calculation process. The District is considered a “credible” district within the SISC III pool for their medical and pharmacy claims. Being credible means they are responsible for and assume all risk for their own claims, up to \$150,000 for medical claims, per member per plan year. The District participates in the regular SISC pool for dental and vision coverage. The District pays a monthly contribution, which is placed in a common fund from which claim payments are made for all SISC III participating districts. SISC III has a right to return monies to a district subsequent to the settlement of all expenses and claims if a district withdraws from the pool.

Unpaid Claims Liabilities

The Self Insurance Funds establish a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2022 to June 30, 2024:

	Workers' Compensation	Health Care	Total
Liability Balance, July 1, 2022	\$ 6,726,917	\$ 4,988,534	\$ 11,715,451
Claims and changes in estimates	2,579,754	70,825,901	73,405,655
Claims payments	<u>(2,691,260)</u>	<u>(70,626,494)</u>	<u>(73,317,754)</u>
Liability Balance, June 30, 2023	6,615,411	5,187,941	11,803,352
Claims and changes in estimates	1,848,539	66,456,336	68,304,875
Claims payments	<u>(2,017,906)</u>	<u>(66,143,613)</u>	<u>(68,161,519)</u>
Liability Balance, June 30, 2024	<u>\$ 6,446,044</u>	<u>\$ 5,500,664</u>	<u>\$ 11,946,708</u>
Assets available to pay claims at June 30, 2024	<u>\$ 10,793,068</u>	<u>\$ 36,543,226</u>	<u>\$ 47,336,294</u>

Note 12 - Employee Retirement Systems

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2024, the District reported its proportionate share of net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Net Pension Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
CalSTRS	\$ 226,535,278	\$ 68,158,130	\$ 15,657,113	\$ 33,993,231
CalPERS	187,119,083	67,777,044	2,878,562	32,161,777
Total	<u>\$ 413,654,361</u>	<u>\$ 135,935,174</u>	<u>\$ 18,535,675</u>	<u>\$ 66,155,008</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)**Plan Description**

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2022, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0% of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2024, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	10.25%	10.205%
Required employer contribution rate	19.10%	19.10%
Required state contribution rate	10.828%	10.828%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1% of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2024, are presented above and the District's total contributions were \$38,135,265.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

At June 30, 2024, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share

Proportionate share of net pension liability	\$ 226,535,278
State's proportionate share of the net pension liability	<u>108,539,422</u>
Total	<u>\$ 335,074,700</u>

The net pension liability was measured as of June 30, 2023. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2023 and June 30, 2022, respectively, was 0.2974% and 0.2932%, resulting in a net increase in the proportionate share of 0.0042%.

For the year ended June 30, 2024, the District recognized pension expense of \$33,993,231. In addition, the District recognized pension expense and revenue of \$14,764,360 for support provided by the State. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 38,135,265	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	9,939,539	3,536,326
Differences between projected and actual earnings on pension plan investments	969,663	-
Differences between expected and actual experience in the measurement of the total pension liability	17,801,941	12,120,787
Changes of assumptions	<u>1,311,722</u>	<u>-</u>
Total	<u>\$ 68,158,130</u>	<u>\$ 15,657,113</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources and deferred inflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2025	\$ (7,126,973)
2026	(11,169,218)
2027	18,354,936
2028	910,918
Total	<u>\$ 969,663</u>

The deferred outflows of resources and deferred inflows of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2025	\$ 2,548,547
2026	854,947
2027	2,572,181
2028	1,103,267
2029	2,703,352
Thereafter	3,613,795
Total	<u>\$ 13,396,089</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2022, and rolling forward the total pension liability to June 30, 2023. The financial reporting actuarial valuation as of June 30, 2022, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2022
Measurement date	June 30, 2023
Experience study	July 1, 2015 through June 30, 2018
Actuarial cost method	Entry age normal
Discount rate	7.10%
Investment rate of return	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110% of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant as an input to the process. The actuarial investment rate of return assumption was adopted by the board in January 2020 in conjunction with the most recent experience study. For each current and future valuation, CalSTRS' independent consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of expected 20-year geometrically linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2023, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Public equity	38%	5.25%
Real estate	15%	4.05%
Private equity	14%	6.75%
Fixed income	14%	2.45%
Risk mitigating strategies	10%	2.25%
Inflation sensitive	7%	3.65%
Cash/liquidity	2%	0.05%

Discount Rate

The discount rate used to measure the total pension liability was 7.10%. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return of 7.10% and assume that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 379,994,852
Current discount rate (7.10%)	226,535,278
1% increase (8.10%)	99,069,215

California Public Employees Retirement System (CalPERS)**Plan Description**

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2022 annual actuarial valuation report, Schools Pool Actuarial Valuation. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 50. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013) and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2024, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	8.00%
Required employer contribution rate	26.680%	26.680%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2024, are presented above and the total District contributions were \$27,594,017.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

As of June 30, 2024, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$187,119,083. The net pension liability was measured as of June 30, 2023. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2023 and June 30, 2022, respectively, was 0.5169% and 0.5096%, resulting in a net increase in the proportionate share of 0.0073%.

For the year ended June 30, 2024, the District recognized pension expense of \$32,161,777. At June 30, 2024, the District reported deferred outflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 27,594,017	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	4,747,028	4,688
Differences between projected and actual earnings on pension plan investments	19,986,993	-
Differences between expected and actual experience in the measurement of the total pension liability	6,828,504	2,873,874
Changes of assumptions	8,620,502	-
Total	<u>\$ 67,777,044</u>	<u>\$ 2,878,562</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources and deferred inflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2025	\$ 3,728,354
2026	2,208,770
2027	13,427,856
2028	622,013
Total	<u>\$ 19,986,993</u>

The deferred outflows of resources and deferred inflows of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is 3.9 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2025	\$ 7,742,959
2026	7,104,917
2027	2,469,596
Total	<u>\$ 17,317,472</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2022, and rolling forward the total pension liability to June 30, 2023. The financial reporting actuarial valuation as of June 30, 2022, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2022
Measurement date	June 30, 2023
Experience study	July 1, 1997 through June 30, 2015
Actuarial cost method	Entry age normal
Discount rate	6.90%
Investment rate of return	6.90%
Consumer price inflation	2.30%
Wage growth	Varies by entry age and service

The mortality table used was developed based on CalPERS-specific data. The rates incorporate Generational Mortality to capture ongoing mortality improvement using 80% of Scale MP-2020 published by the Society of Actuaries.

In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated and, combined with risk estimates, are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global Equity - cap-weighted	30%	4.54%
Global Equity non-cap-weighted	12%	3.84%
Private Equity	13%	7.28%
Treasury	5%	0.27%
Mortgage-backed Securities	5%	0.50%
Investment Grade Corporates	10%	1.56%
High Yield	5%	2.27%
Emerging Market Debt	5%	2.48%
Private Debt	5%	3.57%
Real Assets	15%	3.21%
Leverage	(5%)	(0.59%)

Discount Rate

The discount rate used to measure the total pension liability was 6.90%. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term expected rate of return on the School Employer Pool investments was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (5.90%)	\$ 270,525,826
Current discount rate (6.90%)	187,119,083
1% increase (7.90%)	118,185,308

SISC Defined Benefit Pension Plan (SDBP)**Plan Description**

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by social security or an alternative plan. The District has elected to use the Self-Insured Schools of California (SISC) defined benefit plan as its alternative plan. For all employees who were members in the plan prior to January 1, 2014, the District is required to make contributions of 2.5% of the employees' salary. For all employees who entered the plan subsequent to January 1, 2014, the District is required to make contributions of 2.5% of the employees' salary and the employee is required to contribute 1.3%. There is no specified length of time an employee must work for the District in order to receive benefits. The benefits are 100% vested from the date of participation. The District made contributions of \$141,404 to this plan during the fiscal year ended June 30, 2024, of which \$39,932 was the employee portion. Copies of the SISC defined benefit plan annual financial report may be obtained from the SISC executive office.

All part-time, temporary, and seasonal (PTS) employees are eligible to participate in the SISC Defined Benefit Plan (SDBP), a multiple-employer public employee retirement plan. The District is part of a "cost-sharing" pool within SDBP. One actuarial valuation is performed for those employers participating in the pool, and the same contribution rate applies to each. At June 30, 2024, the District employed 354 PTS employees with a total payroll of \$3,721,161.

Employees who retire on or after age 65 are entitled to a retirement benefit, payable monthly for life, equal to 1.5% of their average compensation multiplied by credited service up to 30 years. Average compensation is the employee's average monthly compensation for the highest three consecutive calendar years of employment. A year of credited service is received for each year in which the employee receives compensation for service with the employer. Credited service will not include periods of employment with the employer during which the employee is covered under another plan sponsored by the employer. Copies of the SDBP annual financial report may be obtained from their executive office.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$17,361,057 (10.828% of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

Note 13 - Commitments and Contingencies

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2024.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2024.

Construction Commitments

As of June 30, 2024, the District had the following commitments with respect to the unfinished capital projects:

Capital Projects	Remaining Construction Commitment	Expected Date of Completion
Fremont Elementary HVAC	\$ 5,689,781	2025-2026
Mann Elementary HVAC	11,955,196	2025-2026
Mt. Vernon Elementary HVAC	6,578,931	2025-2026
Munsey Elementary HVAC	2,569,916	2025-2026
Pioneer Elementary HVAC	6,806,319	2025-2026
Roosevelt Elementary HVAC	7,524,479	2025-2026
Washington Elementary HVAC	6,477,707	2025-2026
Wayside Elementary HVAC	6,545,232	2025-2026
Franklin Elementary new construction	10,853,607	2025-2026
Pioneer Elementary modernization	3,895,701	2027-2028
Mt. Vernon Elementary modernization	4,991,625	2027-2028
Roosevelt Elementary modernization	4,114,560	2027-2028
Owens Intermediate conversion	2,486,573	2024-2025
Total	\$ 80,489,627	

Note 14 - Participation in Public Entity Risk Pools, Joint Powers Authorities and Other Related Party Transactions

The District is a member of the Self-Insured Schools of California Workers' Compensation Program (SISC I), Self-Insured Schools of California Property and Liability Program (SISC II), Self-Insured Schools of California Health and Welfare Benefit Program (SISC III), Partners in Nutrition Cooperative (PINCO), and School Project for Utility Rate Reduction (SPURR) joint powers authorities (JPAs). The District pays an annual premium to the applicable entity for its health, workers' compensation, and property liability coverage. Payments for food and utilities received from the JPAs are paid to PINCO and SPURR, respectively. The relationships between the District and the JPAs are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

The District has appointed no board members to the governing board of SISC I. During the year ended June 30, 2024, the District made payments of \$2,235,831 to SISC I.

The District has appointed one member to the governing board of SISC II. During the year ended June 30, 2024, the District made a payment of \$3,708,619 to SISC II.

The District has appointed one member to the governing board of SISC III. During the year ended June 30, 2024, the District made payments of \$69,644,747 to SISC III.

The District has appointed one member to the governing board of PINCO. During the year ended June 30, 2024, the District made payments of \$4,162,754 to PINCO.

The District has appointed one board member to the governing board of SPURR. During the year ended June 30, 2024, the District made payments of \$418,012 to SPURR.



Required Supplementary Information
June 30, 2024

Bakersfield City School District

Bakersfield City School District
 Budgetary Comparison Schedule – General Fund
 Year Ended June 30, 2024

	Budgeted Amounts		Actual	Variances - Positive (Negative)
	Original	Final		Final to Actual
Revenues				
Local Control Funding Formula	\$ 423,523,538	\$426,082,274	\$ 426,082,274	\$ -
Federal sources	162,497,078	90,149,753	90,149,753	-
Other State sources	127,879,019	110,994,612	110,994,612	-
Other local sources	5,994,459	25,228,968	25,228,968	-
Total revenues	719,894,094	652,455,607	652,455,607	-
Expenditures				
Current				
Certificated salaries	293,145,175	206,218,244	206,218,244	-
Classified salaries	132,025,041	100,784,480	100,784,480	-
Employee benefits	185,097,708	156,889,768	156,889,768	-
Books and supplies	49,761,860	47,103,739	47,103,739	-
Services and operating expenditures	64,228,016	65,918,040	65,918,040	-
Other outgo	(19,407)	245,288	(114,598)	359,886
Capital outlay	54,878,041	22,295,740	22,295,740	-
Debt service				
Debt service - principal	135,022	135,299	3,577,710	(3,442,411)
Debt service - interest and other	45,317	45,040	156,416	(111,376)
Total expenditures	779,296,773	599,635,638	602,829,539	(3,193,901)
Excess (Deficiency) of Revenues Over Expenditures	(59,402,679)	52,819,969	49,626,068	(3,193,901)
Other Financing Sources/(Uses)				
Disposal of assets	-	2,991	2,991	-
Proceeds from leases	-	-	1,540,301	1,540,301
Proceeds from subscription-based IT arrangements	-	-	1,653,603	1,653,603
Transfers out	-	(12,000,000)	(7,000,000)	5,000,000
Net financing sources/(uses)	-	(11,997,009)	(3,803,105)	8,193,904
Net Change in Fund Balances	(59,402,679)	40,822,960	45,822,963	5,000,003
Fund Balance - Beginning	293,301,289	293,301,289	293,301,289	-
Fund Balance - Ending	\$ 233,898,610	\$334,124,249	\$ 339,124,252	\$ 5,000,003

Bakersfield City School District
Schedule of Changes in the District's Total OPEB Liability and Related Ratios
Year Ended June 30, 2024

	2024	2023	2022	2021
Total OPEB Liability				
Service cost	\$ 7,674,479	\$ 6,799,952	\$ 8,344,926	\$ 6,514,695
Interest	3,951,249	3,875,570	2,529,093	2,384,216
Difference between expected and actual experience	-	(5,588,349)	-	(13,713,399)
Changes of assumptions	(2,691,006)	(2,085,178)	(13,055,582)	18,010,495
Benefit payments	(4,391,208)	(4,939,256)	(4,369,200)	(6,424,628)
Net change in total OPEB liability	4,543,514	(1,937,261)	(6,550,763)	6,771,379
Total OPEB Liability - Beginning	106,611,771	108,549,032	115,099,795	108,328,416
Total OPEB Liability - Ending	<u>\$ 111,155,285</u>	<u>\$ 106,611,771</u>	<u>\$ 108,549,032</u>	<u>\$ 115,099,795</u>
Covered Payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Total OPEB Liability as a Percentage of Covered Payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Measurement Date	June 30, 2024	June 30, 2023	June 30, 2022	June 30, 2021

¹ The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of Changes in the District's Total OPEB Liability and Related Ratios
Year Ended June 30, 2024

	2020	2019	2018
Total OPEB Liability			
Service cost	\$ 6,324,947	\$ 7,029,073	\$6,359,129
Interest	2,753,782	4,558,847	4,856,687
Difference between expected and actual experience	3,916,475	(627,208)	-
Changes of assumptions	(36,806,068)	(5,675,869)	-
Benefit payments	(6,424,628)	(7,984,603)	(8,157,012)
Net change in total OPEB liability	(30,235,492)	(2,699,760)	3,058,804
Total OPEB Liability - Beginning	138,563,908	141,263,668	138,204,864
Total OPEB Liability - Ending	<u>\$ 108,328,416</u>	<u>\$ 138,563,908</u>	<u>\$ 141,263,668</u>
Covered Payroll	N/A ¹	N/A ¹	N/A ¹
Total OPEB Liability as a Percentage of Covered Payroll	N/A ¹	N/A ¹	N/A ¹
Measurement Date	June 30, 2020	June 30, 2019	June 30, 2018

¹ The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program
Year Ended June 30, 2024

Year ended June 30,	2024	2023	2022	2021
Proportion of the net OPEB liability	0.4400%	0.4400%	0.4391%	0.5027%
Proportionate share of the net OPEB liability	\$ 1,334,989	\$ 1,449,444	\$ 1,751,494	\$ 2,130,226
Covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Proportionate share of the net OPEB liability as a percentage of it's covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Plan fiduciary net position as a percentage of the total OPEB liability	(0.96%)	(0.94%)	(0.80%)	(0.71%)
Measurement Date	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020

¹ As of June 30, 2012, active members are no longer eligible for future enrollment in the MPP Program; therefore, the covered payroll disclosure is not applicable.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program
Year Ended June 30, 2024

Year ended June 30,	2020	2019	2018
Proportion of the net OPEB liability	0.4867%	0.5073%	0.4838%
Proportionate share of the net OPEB liability	\$ 1,812,581	\$ 1,941,891	\$ 2,035,442
Covered payroll	N/A ¹	N/A ¹	N/A ¹
Proportionate share of the net OPEB liability as a percentage of it's covered payroll	N/A ¹	N/A ¹	N/A ¹
Plan fiduciary net position as a percentage of the total OPEB liability	(0.81%)	(0.40%)	0.01%
Measurement Date	June 30, 2019	June 30, 2018	June 30, 2017

¹ As of June 30, 2012, active members are no longer eligible for future enrollment in the MPP Program; therefore, the covered payroll disclosure is not applicable.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2024

	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>
CalSTRS					
Proportion of the net pension liability	<u>0.2974%</u>	<u>0.2932%</u>	<u>0.2921%</u>	<u>0.2885%</u>	<u>0.2751%</u>
Proportionate share of the net pension liability	<u>\$ 226,535,278</u>	<u>\$ 203,722,409</u>	<u>\$ 132,943,118</u>	<u>\$ 279,564,703</u>	<u>\$ 248,499,265</u>
State's proportionate share of the net pension liability	<u>108,539,422</u>	<u>102,023,386</u>	<u>66,891,821</u>	<u>144,115,637</u>	<u>135,572,939</u>
Total	<u><u>\$ 335,074,700</u></u>	<u><u>\$ 305,745,795</u></u>	<u><u>\$ 199,834,939</u></u>	<u><u>\$ 423,680,340</u></u>	<u><u>\$ 384,072,204</u></u>
Covered payroll	<u>\$ 185,911,859</u>	<u>\$ 178,717,748</u>	<u>\$ 158,462,749</u>	<u>\$ 158,006,398</u>	<u>\$ 145,660,037</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>121.85%</u>	<u>113.99%</u>	<u>83.90%</u>	<u>176.93%</u>	<u>170.60%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>81%</u>	<u>81%</u>	<u>87%</u>	<u>72%</u>	<u>73%</u>
Measurement Date	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019
CalPERS					
Proportion of the net pension liability	<u>0.5169%</u>	<u>0.5096%</u>	<u>0.4915%</u>	<u>0.4882%</u>	<u>0.4722%</u>
Proportionate share of the net pension liability	<u>\$ 187,119,083</u>	<u>\$ 175,341,830</u>	<u>\$ 99,935,746</u>	<u>\$ 149,785,771</u>	<u>\$ 137,611,843</u>
Covered payroll	<u>\$ 91,254,888</u>	<u>\$ 79,375,094</u>	<u>\$ 70,583,792</u>	<u>\$ 70,705,943</u>	<u>\$ 66,497,780</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>205.05%</u>	<u>220.90%</u>	<u>141.58%</u>	<u>211.84%</u>	<u>206.94%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>70%</u>	<u>70%</u>	<u>81%</u>	<u>70%</u>	<u>70%</u>
Measurement Date	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2024

	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS					
Proportion of the net pension liability	<u>0.2826%</u>	<u>0.2672%</u>	<u>0.2617%</u>	<u>0.2672%</u>	<u>0.2335%</u>
Proportionate share of the net pension liability	<u>\$ 259,775,031</u>	<u>\$ 247,141,153</u>	<u>\$ 211,683,192</u>	<u>\$ 179,919,780</u>	<u>\$ 136,430,742</u>
State's proportionate share of the net pension liability	<u>148,733,354</u>	<u>146,206,618</u>	<u>120,507,465</u>	<u>95,157,730</u>	<u>82,382,772</u>
Total	<u><u>\$ 408,508,385</u></u>	<u><u>\$ 393,347,771</u></u>	<u><u>\$ 332,190,657</u></u>	<u><u>\$ 275,077,510</u></u>	<u><u>\$ 218,813,514</u></u>
Covered payroll	<u>\$ 150,801,635</u>	<u>\$ 145,046,932</u>	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>	<u>\$ 115,849,612</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>172.26%</u>	<u>170.39%</u>	<u>158.89%</u>	<u>144.02%</u>	<u>117.77%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>71%</u>	<u>69%</u>	<u>70%</u>	<u>74%</u>	<u>77%</u>
Measurement Date	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
CalPERS					
Proportion of the net pension liability	<u>0.4402%</u>	<u>0.4070%</u>	<u>0.3933%</u>	<u>0.3892%</u>	<u>0.3584%</u>
Proportionate share of the net pension liability	<u>\$ 117,360,055</u>	<u>\$ 97,171,022</u>	<u>\$ 77,686,442</u>	<u>\$ 57,371,906</u>	<u>\$ 40,692,770</u>
Covered payroll	<u>\$ 59,251,883</u>	<u>\$ 51,781,221</u>	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>	<u>\$ 37,723,361</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>198.07%</u>	<u>187.66%</u>	<u>164.49%</u>	<u>133.10%</u>	<u>107.87%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>71%</u>	<u>72%</u>	<u>74%</u>	<u>79%</u>	<u>83%</u>
Measurement Date	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014

Bakersfield City School District
Schedule of the District's Contributions
Year Ended June 30, 2024

	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>
CalSTRS					
Contractually required contribution	\$ 38,135,265	\$ 35,509,165	\$ 30,239,043	\$ 25,591,734	\$ 27,019,094
Less contributions in relation to the contractually required contribution	<u>38,135,265</u>	<u>35,509,165</u>	<u>30,239,043</u>	<u>25,591,734</u>	<u>27,019,094</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 199,661,072</u>	<u>\$ 185,911,859</u>	<u>\$ 178,717,748</u>	<u>\$ 158,462,749</u>	<u>\$ 158,006,398</u>
Contributions as a percentage of covered payroll	<u>19.10%</u>	<u>19.10%</u>	<u>16.92%</u>	<u>16.15%</u>	<u>17.10%</u>
CalPERS					
Contractually required contribution	\$ 27,594,017	\$ 23,151,365	\$ 18,184,834	\$ 14,610,845	\$ 13,943,919
Less contributions in relation to the contractually required contribution	<u>27,594,017</u>	<u>23,151,365</u>	<u>18,184,834</u>	<u>14,610,845</u>	<u>13,943,919</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 103,425,852</u>	<u>\$ 91,254,888</u>	<u>\$ 79,375,094</u>	<u>\$ 70,583,792</u>	<u>\$ 70,705,943</u>
Contributions as a percentage of covered payroll	<u>26.680%</u>	<u>25.370%</u>	<u>22.910%</u>	<u>20.700%</u>	<u>19.721%</u>

Bakersfield City School District
Schedule of the District's Contributions
Year Ended June 30, 2024

	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS	\$ 23,713,454	\$ 21,760,676	\$ 18,246,904	\$ 14,295,169	\$ 11,093,648
Contractually required contribution	<u>23,713,454</u>	<u>21,760,676</u>	<u>18,246,904</u>	<u>14,295,169</u>	<u>11,093,648</u>
Less contributions in relation to the contractually required contribution	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Contribution deficiency (excess)	<u>\$ 145,660,037</u>	<u>\$ 150,801,635</u>	<u>\$ 145,046,932</u>	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>
Covered payroll	<u>16.28%</u>	<u>14.43%</u>	<u>12.58%</u>	<u>10.73%</u>	<u>8.88%</u>
Contributions as a percentage of covered payroll					
CalPERS	\$ 12,010,829	\$ 9,202,410	\$ 7,191,376	\$ 5,595,312	\$ 5,073,858
Contractually required contribution	<u>12,010,829</u>	<u>9,202,410</u>	<u>7,191,376</u>	<u>5,595,312</u>	<u>5,073,858</u>
Less contributions in relation to the contractually required contribution	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Contribution deficiency (excess)	<u>\$ 66,497,780</u>	<u>\$ 59,251,883</u>	<u>\$ 51,781,221</u>	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>
Covered payroll	<u>18.062%</u>	<u>15.531%</u>	<u>13.888%</u>	<u>11.847%</u>	<u>11.771%</u>

Note 1 - Purpose of Schedule

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United State of America as prescribed by the Governmental Accounting Standards Board and provisions of the California *Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were not changes in the benefit terms since the previous valuation.
- *Changes in Assumptions* - The discount rate assumption was changed from 3.65% to 3.93% since the previous valuation.

Schedule of the District's Proportionate Share of the Net OPEB Liability - MPP Program

This schedule presents information on the District's proportionate share of the net OPEB Liability - MPP Program and the plans' fiduciary net position. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in the benefit terms since the previous valuation.
- *Changes of Assumptions* - The plan rate of investment return assumption was changed from 3.54% to 3.65% since the previous valuation.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in benefit terms since the previous valuations for both CalSTRS and CalPERS.
- *Changes of Assumptions* - There were no changes in economic assumptions for the CalSTRS or CalPERS plans from the previous valuations.

Schedule of the District's Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.



Supplementary Information
June 30, 2024

Bakersfield City School District

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Education			
Passed Through Kern County Consortium SELPA			
Special Education Cluster			
Special Education Grants to States - Basic Local Assistance	84.027	13379	\$ 6,799,537
COVID-19, Special Education: ARP IDEA Part B, Local Assistance Entitlement	84.027	15638	83,468
Special Education Grants to States - Mental Health	84.027A	15197	332,027
COVID-19, Special Education: ARP Local Assistance			
Private School ISP	84.027	10169	9,670
Special Education Preschool Grants - Dispute Resolution	84.027A	13007	14,922
Special Education Grants to States - Private School ISP	84.027	10115	53,875
Subtotal (84.027)			7,293,499
Special Education Preschool Grants	84.173	13430	130,511
COVID-19, Special Education: ARP IDEA, Preschool Grants	84.173	15639	4,277
Special Education Preschool Grants - Preschool Staff Development	84.173A	13431	3,240
Subtotal (84.173)			138,028
Total Special Education Cluster			7,431,527
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III)	84.425U	15559	38,666,149
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): Learning Loss	84.425U	10155	4,700,268
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): State Reserve			
Emergency Needs	84.425U	15620	2,339,291
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): State Reserve			
Learning Loss	84.425U	15621	4,032,534
COVID-19, Expanded Learning Opportunities (ELO) Grant ESSER II			
State Reserve	84.425D	15618	185,565
COVID-19, American Rescue Plan-Homelss Children and Youth II (ARP HYC II)	84.425W	15566	292,226
Subtotal (84.425)			50,216,033
Title I Grants to Local Educational Agencies	84.010	14329	25,700,862
ESEA: ESSA School Improvement (CSI) Funding for LEAs	84.010	15438	64,163
Subtotal (84.010)			25,765,025
English Language Acquisition State Grants - IEP	84.365	15146	69,329
English Language Acquisition State Grants - LEP	84.365	14346	1,156,438
Subtotal (84.365)			1,225,767
Special Education Grants for Infants and Families - Early Intervention	84.181	23761	61,630

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Education			
Passed Through Kern County Consortium SELPA			
Migrant Education State Grant Program	84.011	14326	2,580,445
Supporting Effective Instruction State Grants - Teacher Quality	84.367	14341	1,213,471
Student Support and Academic Enrichment Program	84.424	15396	<u>1,655,854</u>
Total U.S. Department of Education			<u>90,149,752</u>
U.S. Department of Health and Human Services			
Passed Through California Department of Social Services			
Child Care and Development Fund (CCDF) Cluster			
COVID-19, Child Development: ARP California State			
Preschool Program One-Time Stipend	93.575	15640	106,720
COVID-19, Child Development: ARP California State			
Preschool Program - Rate Supplements	93.575	15641	<u>61,520</u>
Total CCDF Cluster			<u>168,240</u>
Total U.S. Department of Health and Human Services			<u>168,240</u>
U.S. Department of Agriculture			
Passed Through California Department of Education			
Child Nutrition Cluster			
National School Lunch Program - Section 4	10.555	13523	2,141,174
National School Lunch Program - Section 11	10.555	13524	16,487,044
National School Lunch Program - Meal Supplements	10.555	13755	882,545
National School Lunch Program - Commodity			
Supplemental Food	10.555	13524	1,304,400
Supply Chain Assistance (SCA) Funds	10.555	15655	<u>919,291</u>
Subtotal (10.555)			21,734,454
School Breakfast Program - Especially Needy Breakfast	10.553	13526	4,220,280
Fresh Fruit and Vegetable Program	10.582	14968	<u>1,157,895</u>
Total Child Nutrition Cluster			<u>27,112,629</u>
Passed Through California Department of Social Services			
Child and Adult Care Food Program			
CACFP Claims - Centers and Family Day Care Homes	10.558	13529	562,666
Cash in Lieu of Commodities	10.558	13534	<u>39,056</u>
Subtotal (10.558)			<u>601,722</u>
Total U.S. Department of Agriculture			<u>27,714,351</u>
Total Federal Financial Assistance			<u>\$ 118,032,343</u>

Bakersfield City School District
Schedule of Average Daily Attendance
Year Ended June 30, 2024

	Second Period Report	Annual Report
Regular ADA		
Transitional kindergarten through third	11,864.33	11,848.13
Fourth through sixth	9,087.47	9,056.05
Seventh and eighth	5,845.55	5,804.39
Total regular ADA	26,797.35	26,708.57
Extended Year Special Education		
Transitional kindergarten through third	16.87	16.87
Fourth through sixth	8.85	8.85
Seventh and eighth	5.90	5.90
Total extended year special education	31.62	31.62
Community Day School		
Transitional kindergarten through third	8.01	8.18
Fourth through sixth	6.16	6.53
Seventh and eighth	4.88	5.54
Total community day school	19.05	20.25
Total ADA	26,848.02	26,760.44

Bakersfield City School District

Schedule of Instructional Time

Year Ended June 30, 2024

Grade Level	1986-1987 Minutes Requirement	2023-2024 Actual Minutes	Number of Actual Days	Status
Kindergarten	36,000	41,460	180	Complied
Grades 1 - 3	50,400			
Grade 1		51,144	180	Complied
Grade 2		51,144	180	Complied
Grade 3		51,144	180	Complied
Grades 4 - 8	54,000			
Grade 4		54,704	180	Complied
Grade 5		54,704	180	Complied
Grade 6		57,340	180	Complied
Grade 7		57,340	180	Complied
Grade 8		57,340	180	Complied

Bakersfield City School District
Reconciliation of Annual Financial and Budget Report with Audited Financial Statements
Year Ended June 30, 2024

There were no adjustments to the Unaudited Actual Financial Report, which required reconciliation to the audited financial statements at June 30, 2024.

Bakersfield City School District
Schedule of Financial Trends and Analysis
Year Ended June 30, 2024

	(Budget) 2025 ¹	2024	2023 ¹	2022 ¹
General Fund ³				
Revenues	\$ 697,763,415	\$ 651,876,791	\$ 685,075,292	\$ 545,646,171
Other sources	-	2,991	-	-
Total Revenues and Other Sources	697,763,415	651,879,782	685,075,292	545,646,171
Expenditures	810,940,689	599,635,635	562,134,111	498,106,208
Other uses and transfers out	-	12,000,000	10,500,000	720,000
Total Expenditures and Other Uses	810,940,689	611,635,635	572,634,111	498,826,208
Increase/(Decrease) in Fund Balance	(113,177,274)	40,244,147	112,441,181	46,819,963
Prior Period Adjustment	-	-	1,837,186	-
Ending Fund Balance ⁴	\$ 202,746,070	\$ 315,923,344	\$ 275,679,197	\$ 165,075,202
Available Reserves ²	\$ 98,925,347	\$ 83,754,000	\$ 83,367,713	\$ 70,588,287
Available Reserves as a Percentage of Total Outgo	12.2%	13.7%	14.6%	14.2%
Long-Term Liabilities ⁵	Not Available	\$ 691,823,940	\$ 654,651,434	\$ 515,219,196
Average Daily Attendance at P-2	26,841	26,848	26,388	24,997

The General Fund balance has increased by \$150,848,142 over the past two years. The fiscal year 2024-2025 budget projects a decrease of \$113,177,274 (36.0%). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in each of the past three years but anticipates incurring an operating deficit during the 2024-2025 fiscal year. Total long-term liabilities have increased by \$176,604,744 over the past two years due to changes in the District's net pension liability and other postemployment benefits obligations.

Average daily attendance has increased by 1,851 over the past two years. A decrease of seven ADA is anticipated during fiscal year 2024-2025.

¹ Financial information for 2025, 2023, and 2022 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained within the General Fund.

³ General Fund amounts do not include activity related to the consolidation of the Pupil Transportation Fund and the Special Reserve Postemployment Benefits Fund as required by GASB Statement No. 54.

⁴ Budget 2023 ending fund balance includes LCFF Supplemental and Concentration carryover funds which will be used for increasing and improving services to high need students.

⁵ Long-term liabilities balance was restated as of June 30, 2022, due to the implementation of GASB Statement No. 96.

Bakersfield City School District
Combining Balance Sheet – Non-Major Governmental Funds
June 30, 2024

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Assets								
Deposits and investments	\$ 141,605	\$ 2,878,512	\$ 10,222,125	\$ 3,232,457	\$ 30,416,716	\$ 7,012,272	\$ 4,394,655	\$ 58,298,342
Receivables	-	17,617	6,686,279	275,604	269,363	12,822	344,837	7,606,522
Due from other funds	-	13	683,850	4,051,276	-	-	-	4,735,139
Stores inventories	-	-	548,534	-	-	-	-	548,534
Total assets	\$ 141,605	\$ 2,896,142	\$ 18,140,788	\$ 7,559,337	\$ 30,686,079	\$ 7,025,094	\$ 4,739,492	\$ 71,188,537
Liabilities and Fund Balances								
Liabilities								
Accounts payable	\$ -	\$ 474,469	\$ 601,563	\$ 85,784	\$ 595,442	\$ -	\$ -	\$ 1,757,258
Due to other funds	-	210,306	738,131	-	399,817	-	-	1,348,254
Unearned revenue	-	167,828	-	-	-	-	-	167,828
Total liabilities	-	852,603	1,339,694	85,784	995,259	-	-	3,273,340
Fund Balances								
Nonspendable	-	-	549,404	-	-	-	-	549,404
Restricted	141,605	2,043,539	16,251,690	7,473,553	29,690,820	-	4,739,492	60,340,699
Committed	-	-	-	-	-	7,025,094	-	7,025,094
Total fund balances	141,605	2,043,539	16,801,094	7,473,553	29,690,820	7,025,094	4,739,492	67,915,197
Total liabilities and fund balances	\$ 141,605	\$ 2,896,142	\$ 18,140,788	\$ 7,559,337	\$ 30,686,079	\$ 7,025,094	\$ 4,739,492	\$ 71,188,537

Bakersfield City School District

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Non-Major Governmental Funds

Year Ended June 30, 2024

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Revenues								
Federal sources	\$ -	\$ -	\$ 27,615,321	\$ -	\$ -	\$ -	\$ 814,885	\$ 28,430,206
Other State sources	-	6,330,676	5,645,232	-	319,660	-	46,509	12,342,077
Other local sources	558,760	408,926	907,198	1,810,859	1,555,085	(70,090)	6,967,182	12,137,920
Total revenues	558,760	6,739,602	34,167,751	1,810,859	1,874,745	(70,090)	7,828,576	52,910,203
Expenditures								
Current								
Instruction	-	4,747,296	-	-	-	-	-	4,747,296
Instruction-related activities								
Supervision of instruction	-	307,990	-	-	-	-	-	307,990
School site administration	-	93,379	-	-	-	-	-	93,379
Pupil services								
Food services	-	-	27,375,167	-	-	-	-	27,375,167
Administration								
All other administration	-	160,481	498,199	28,554	-	-	-	687,234
Plant services	-	17	785,573	-	-	-	-	785,590
Ancillary services	597,805	-	-	-	-	-	-	597,805
Enterprise services	-	305,444	-	-	-	-	-	305,444
Facility acquisition and construction	-	-	-	-	8,076,977	-	-	8,076,977
Debt service								
Principal	-	-	-	-	-	-	3,800,000	3,800,000
Interest and other	-	-	-	-	-	-	4,188,407	4,188,407
Total expenditures	597,805	5,614,607	28,658,939	28,554	8,076,977	-	7,988,407	50,965,289
Excess (Deficiency) of Revenues Over Expenditures	(39,045)	1,124,995	5,508,812	1,782,305	(6,202,232)	(70,090)	(159,831)	1,944,914
Other Financing Sources								
Transfers in	-	-	-	-	-	7,000,000	-	7,000,000
Net Change in Fund Balances	(39,045)	1,124,995	5,508,812	1,782,305	(6,202,232)	6,929,910	(159,831)	8,944,914
Fund Balance - Beginning	180,650	918,544	11,292,282	5,691,248	35,893,052	95,184	4,899,323	58,970,283
Fund Balance - Ending	\$ 141,605	\$ 2,043,539	\$ 16,801,094	\$ 7,473,553	\$ 29,690,820	\$ 7,025,094	\$ 4,739,492	\$ 67,915,197

See Notes to Required Supplementary Information

Note 1 - Purpose of Schedules

Schedule of Expenditures of Federal Awards (SEFA)

Basis of Presentation

The accompanying Schedule of Expenditures of Federal Awards (the schedule) includes the federal award activity of the Bakersfield City School District (the District) under programs of the federal government for the year ended June 30, 2024. The information is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the Bakersfield City School District, it is not intended to and does not present the net position, changes in net position or fund balances of Bakersfield City School District.

Summary of Significant Accounting Policies

Expenditures reported in the schedule are reported on the modified accrual basis of accounting. When applicable, such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. No federal financial assistance has been provided to a subrecipient.

Indirect Cost Rate

The District has not elected to use the ten percent de minimis cost rate.

SEFA Reconciliation

The total federal expenditures reported on the schedule differs from the total federal revenue recognized within the financial statements due to the District receiving federal subsidies for general obligation bond interest payments, Child Development: ARP California State Preschool Program One-Time Stipend and Child Development: ARP California State Preschool Program – Rate Supplements and Child Nutrition: Supply Chain Assistance (SCA) Funds Supplemental Apportionments Act prior year revenues expended in the current year.

Description	<u>Federal Financial Assistance Listing</u>	<u>Amount</u>
Total Federal Revenues reported on the financial statements		\$ 118,579,959
Federal interest subsidy	Not Available	(814,885)
Child Nutrition: Supply Chain Assistance (SCA) Funds		
Supplemental Apportionments Act	10.555	99,029
COVID-19, Child Development: ARP California State Preschool		
Program One-Time Stipend	93.575	106,720
COVID-19, Child Development: ARP California State Preschool		
Program - Rate Supplements	93.575	<u>61,520</u>
Total Federal Financial Assistance		<u><u>\$ 118,032,343</u></u>

Food Donation

Nonmonetary assistance is reported in this schedule at the fair market value of the commodities received and disbursed. For the fiscal year ending June 30, 2024, the District used food commodities totaling \$1,304,400.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District has met its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46207.

Districts must maintain their instructional minutes at the 1986-87 requirements, as required by *Education Code* Section 46201.

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Non-Major Governmental Funds - Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances

These schedules are included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.



Other Information
June 30, 2024

Bakersfield City School District

Organization

The Bakersfield City School District was established in 1882 and consists of an area comprising approximately 158 square miles in Kern County. The District operates 33 elementary schools, six middle schools, four junior high schools, one community day school, and two alternative sites for special education. There were no boundary changes during the year.

Governing Board

Member	Office	Term Expires
Dr. Chris Cruz-Boone	President	2024
Anthony Fuentes	President Pro Tem	2026
Lilian Tafoya	Clerk	2024
Laura Guerrero-Salgado	Clerk Pro Tem	2026
Brooke Malley Ault	Member	2024

Administration

Mark Luque	District Superintendent
Laura Orozco	Assistant Superintendent, Educational Services
Christine Cornejo	Assistant Superintendent, Human Resources
Sherry Gladin	Assistant Superintendent, Business Services



Independent Auditor's Reports
June 30, 2024

Bakersfield City School District



**Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance
and Other Matters Based on an Audit of Financial Statements Performed in Accordance with
*Government Auditing Standards***

To the Governing Board
Bakersfield City School District
Bakersfield, California

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District (the District), as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 22, 2024.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 22, 2024



Independent Auditor's Report on Compliance for Each Major Federal Program; Report on Internal Control Over Compliance Required by the Uniform Guidance

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Bakersfield City School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2024. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance

requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 22, 2024



Independent Auditor's Report on State Compliance and on Internal Control Over Compliance

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on Compliance

Opinion on State Compliance

We have audited Bakersfield City School District's (the District) compliance with the requirements specified in the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, applicable to the District's state program requirements identified below for the year ended June 30, 2024.

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that are applicable to the laws and regulations of the state programs noted in the table below for the year ended June 30, 2024.

Basis for Opinion

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*), and the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the District's state programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of the state programs as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we consider necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, but not for the purpose of expressing an opinion on the effectiveness of the District's internal controls over compliance. Accordingly, we express no such opinion; and
- Select and test transactions and records to determine the District's compliance with the state laws and regulations applicable to the following items:

<u>2023-2024 K-12 Audit Guide Procedures</u>	<u>Procedures Performed</u>
Local Education Agencies Other Than Charter Schools	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	Yes
Continuation Education	Not Applicable
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	Not Applicable

2023-2024 K-12 Audit Guide Procedures	Procedures Performed
GANN Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	Not Applicable
Middle or Early College High Schools	Not Applicable
K-3 Grade Span Adjustment	Yes
Apprenticeship: Related and Supplemental Instruction	Not Applicable
Comprehensive School Safety Plan	Yes
District of Choice	Not Applicable
Home to School Transportation Reimbursement	Yes
School Districts, County Offices of Education, and Charter Schools	
Proposition 28 Arts and Music in Schools	Yes
After/Before School Education and Safety Program	Yes
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study - Course Based	Not Applicable
Immunizations	Not Applicable
Educator Effectiveness	Yes
Expanded Learning Opportunities Grant (ELO-G)	Yes
Career Technical Education Incentive Grant	Not Applicable
Expanded Learning Opportunities Program	Yes
Transitional Kindergarten	Yes
Charter Schools	
Attendance	Not Applicable
Mode of Instruction	Not Applicable
Nonclassroom-Based Instruction/Independent Study	Not Applicable
Determination of Funding for Nonclassroom-Based Instruction	Not Applicable
Annual Instructional Minutes - Classroom Based	Not Applicable
Charter School Facility Grant Program	Not Applicable

The term “Not Applicable” is used above to mean either the District did not offer the program during the current fiscal year, the District did not participate in the program during the current fiscal year, or the program applies to a different type of local education agency.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identify during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that a material noncompliance with a compliance requirement will not be prevented, or detected and corrected, on a timely basis.

A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention from those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the *2023-2024 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 22, 2024



Schedule of Findings and Questioned Costs
June 30, 2024

Bakersfield City School District

Financial Statements

Type of auditor's report issued	Unmodified
Internal control over financial reporting	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Noncompliance material to financial statements noted?	No

Federal Awards

Internal control over major program	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance 2 CFR 200.516(a)	No

Identification of major programs

<u>Name of Federal Program or Cluster</u>	<u>Federal Financial Assistance Listing</u>
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III)	84.425U
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): Learning Loss	84.425U
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): State Reserve Emergency Needs	84.425U
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III): State Reserve Learning Loss	84.425U
COVID-19, Expanded Learning Opportunities (ELO) Grant ESSER II State Reserve	84.425D
COVID-19, Expanded Learning Opportunities (ELO) Grant GEER II	84.425C
COVID-19, After School Education and Safety (ASES) Rate Increase: ESSER III State Reserve Afterschool Programs	84.425U
Dollar threshold used to distinguish between type A and type B programs	\$ 3,540,970
Auditee qualified as low-risk auditee?	Yes

State Compliance

Internal control over state compliance program

Material weaknesses identified

No

Significant deficiencies identified not considered
to be material weaknesses

None Reported

Type of auditor's report issued on compliance
for programs

Unmodified

None reported.

None reported.

None reported.

There were no audit findings reported in the prior year's Schedule of Findings and Questioned Costs.